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**Unit 5-I, 5th Floor, OPL Building 100 C. Palanca Street, Legaspi Village
Makati City**

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SECURITIES AND EXCHANGE

COMMISSION SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended 30 Sep 2025
2. Commission identification number A1996-00179 3. BIR Tax Identification No. 004-668-224

4. Exact name of issuer as specified in its charter

NOW CORPORATION

5. Province, country or other jurisdiction of incorporation or organization

MAKATI CITY, PHILIPPINES

6. Industry Classification Code: (SEC Use Only)

7. Address of issuer's principal office Postal Code

Unit 5-I, 5th Floor, OPL Building, 100 C. Palanca Street, Legaspi Village, Makati City, Philippines 1229

8. Issuer's telephone number, including area code (632)88102548

9. Former name, former address and former fiscal year, if changed since last report

N/A

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
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COMMON STOCK	1,806,726,314
PREFERRED STOCK	60,000,000

11. Are any or all of the securities listed on a Stock
Exchange? Yes [/] No []

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

PHILIPPINE STOCK EXCHANGE COMMON STOCK

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports) Yes [/] No []

(b) has been subject to such filing requirements for the past ninety (90) days. Yes [/] No []

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
As of September 30, 2025 and December 31, 2024

		September 30, 2025	December 31, 2024
	Note	Unaudited	Audited
ASSETS			
Current Assets			
Cash	4	31,301,667	18,905,102
Trade and Other Receivables	5	577,562,105	535,463,895
Due from related parties	12	348,481,954	329,096,388
Other current assets	6	121,624,167	49,765,842
Total Current Assets		1,078,969,893	933,231,227
Non Current Assets			
Investment in Associate	7	2,194,777,639	2,191,893,508
Property and equipment	8	4,783,598	8,730,370
Right of Use Asset		5,372,610	5,900,022
Other noncurrent assets	6	1,348,429	2,742,946
Total Noncurrent Assets		2,206,282,276	2,209,266,846
Total Assets		3,285,252,168	3,142,498,073
Liabilities and Equity			
Current Liabilities			
Trade and other payables	9	415,892,806	300,591,596
Due to related parties	12	125,599,552	129,704,283
Lease Liability - current	10	5,990,161	6,196,691
Current portion of loans payable	14	115,846,982	133,488,394
Total Current Liabilities		663,329,500	569,980,964
Non Current Liabilities			
Lease Liability - noncurrent	10	3,345,594	3,345,594
Loans payable	14	318,176,101	285,055,523
Retirement benefit obligation	13	15,847,458	16,121,303
Deferred tax liability		880,094	880,094
Deposit for future stock subscription-Liab		89,000,000	89,000,000
Total Non Current Liabilities		427,249,248	394,402,514
Total Liabilities		1,090,578,748	964,383,478
Equity			
Capital stock	11	1,324,708,420	1,324,708,420
Additional paid-in capital	11	541,569,110	541,569,110
Equity reserve		(1,978,794)	(1,978,794)
Retained earnings / (Deficit)		27,356,712	18,435,269
Other comprehensive income		307,308,818	299,441,221
Non-controlling interest		(4,290,846)	(4,060,631)
Total Equity		2,194,673,420	2,178,114,595
Total Liabilities and Equity		3,285,252,168	3,142,498,073

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
For the Period of September 30, 2025, and December 31, 2024
September 30, 2025 December 31, 2024

	Note	Unaudited	Audited
REVENUES	15		
Service Revenue		106,506,438	185,310,996
Sales		1,035,968	4,369,045
Total Revenues		107,542,406	189,680,041
COST AND EXPENSES	16		
Cost of services		41,414,132	73,735,100
Cost of sales		426,384	1,811,054
Cost of sales and services		41,840,516	75,546,154
Gross profit		65,701,891	114,133,887
Salaries and other benefits		11,456,041	29,011,752
Outside Services		1,389,039	3,222,951
Rental		658,898	518,531
Taxes and licenses		2,980,510	7,603,935
Professional fees		2,890,702	13,664,973
Light and water		319,444	437,929
Transportation and travel		2,950,225	8,402,443
Advertising and promotion		9,800	813,292
Depreciation and amortization		4,517,660	10,826,113
Repairs and maintenance		353,593	1,266,076
Communication & Subscription		1,723,488	3,992,801
Representation expense		997,034	1,870,125
Supplies		458,318	2,068,018
Insurance		54,386	263,216
Others- Expenses		1,656,711	4,394,851
Total Operating Expenses		32,415,848	91,699,878
NET OPERATING INCOME (LOSS)		33,286,043	22,434,009
OTHER INCOME (CHARGES)			
Interest expense	10	(17,879,943)	(32,105,912)
Interest income		5,325,935	7,117,880
Equity in Net Income of an Associate		(9,667,971)	(329,535)
Other Income		1,122,033	103,349
Other Charges		(597,793)	573,645
Sub-total		(21,697,739)	(24,640,573)
INCOME (LOSS) BEFORE INCOME TAX		11,588,304	(2,206,564)
PROVISION FOR INCOME TAX	17		
Current		2,897,076	4,650,056
Deferred		-	(2,861,758)
		2,897,076	1,788,298
NET INCOME (LOSS)		8,691,228	(3,994,862)

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
For the Period of September 30, 2025, and December 31, 2024

	September 30, 2025	December 31, 2024
Note	Unaudited	Audited
NET INCOME (LOSS)	8,691,228	(3,994,862)
OTHER COMPREHENSIVE INCOME (LOSS)		
Items not to be reclassified to profit or loss:		
Remeasurement loss on retirement		
Liability		(6,550,888)
Items to be reclassified to profit or loss:		
Cumulative translation adjustments		(19,931)
	-	(6,570,819)
TOTAL COMPREHENSIVE INCOME (LOSS)	-	(10,565,681)
TOTAL COMPREHENSIVE INCOME (LOSS)		
ATTRIBUTABLE TO:		
Equity holders of the Company	8,921,443	(10,243,021)
Non controlling Interest	(230,215)	(322,660)
INCOME (LOSS) BEFORE INCOME TAX	8,691,228	(10,565,681)
EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF		
THE PARENT COMPANY		
Basic	0.0049	-0.0057
Dilluted	0.0048	-0.0055

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
For the Period of September 30, 2025 and December 31, 2024

	September 30, 2025 Unaudited	December 31, 2024 Audited
CAPITAL STOCK		
Common Stock - P0.70 par value Issued and outstanding	1,264,708,420	1,264,708,420
Preferred Stock - P1.00 par value Issued and outstanding	60,000,000	60,000,000
	1,324,708,420	1,324,708,420
ADDITIONAL PAID-IN CAPITAL		
Balance at beginning and end of year	541,569,110	541,569,110
EQUITY RESERVE	(1,978,794)	(1,978,794)
RETAINED EARNINGS (DEFICIT)		
Balance at beginning of year	18,435,269	22,107,471
Net income (loss)	8,921,443	(3,672,202)
Balance at end of year	27,356,712	18,435,269
OTHER COMPREHENSIVE INCOME	307,308,818	299,441,221
NON-CONTROLLING INTEREST	(4,290,846)	(4,060,631)
TOTAL EQUITY	2,194,673,420	2,178,114,595

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Period of September 30, 2025, and December 31, 2024

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	11,588,304	(2,206,564)
Interest expense	17,879,943	32,105,912
Adjustments for:		
Depreciation and amortization	4,517,660	10,826,113
Interest income	(5,325,935)	(7,117,880)
Retirement benefits expense	(273,845)	1,838,589
Provision for impairment losses	-	3,342,872
Gain on reversal of lease liab		(37,225)
Share in Net Income of an Associate	9,667,971	329,535
Operating income before working capital changes	38,054,098	39,081,352
Decrease (increase) in:		
Trade and other receivables	(42,098,210)	(67,528,451)
Other current assets	(71,858,324)	(315,545)
Increase (decrease) in accounts payable and accrued expenses	108,983,175	36,388,434
Net cash flows used in operations	33,080,740	7,625,790
Interest received	5,325,935	25,604
Income taxes paid, including CWTs	(2,897,076)	(4,650,056)
Net cash flows used in operating activities	35,509,599	3,001,338
CASH FLOWS FROM INVESTING ACTIVITIES		
Increase in amounts due from related parties	(19,385,566)	2,629,690
Investment and Advances	(2,884,131)	-
(Increase) Decrease in ROU Assets, property and equipment	4,474,184	(3,844,146)
(Increase)Decrease in other noncurrent assets	1,394,517	(17,920)
Cash flows used in investing activities	(16,400,996)	(1,232,376)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from availments of Long-term loans	50,000,000	24,000,000
Increase in due to related parties	(4,104,731)	820,992
Payments of Loan		
Principal	(34,584,698)	(29,711,112)
Interest	(17,816,079)	(18,607,178)
Lease liabilities	(206,530)	(4,726,606)
Net cash flows from financing activities	(6,712,038)	(28,223,904)
NET INCREASE IN CASH	12,396,565	(26,454,942)
CASH AT BEGINNING OF YEAR	18,905,102	45,360,044
CASH AT END OF YEAR	31,301,667	18,905,102

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
For the Period of September 30, 2025, and 2024

		September 30, 2025	September 30, 2024
	<i>Note</i>	Unaudited	Unaudited
ASSETS			
Current Assets			
Cash	4	31,301,667	22,763,257
Trade and Other Receivables	5	577,562,105	525,062,578
Due from related parties	12	348,481,954	351,808,188
Other current assets	6	121,624,167	64,789,632
Total Current Assets		1,078,969,893	964,423,656
Non Current Assets			
Investment in Associate	7	2,194,777,639	2,189,380,508
Property and equipment	8	4,783,598	8,117,927
Right of Use Asset		5,372,610	9,343,500
Other noncurrent assets	6	1,348,429	1,335,145
Total Noncurrent Assets		2,206,282,276	2,208,177,080
Total Assets		3,285,252,168	3,172,600,736
Liaibilities and Equity			
Current Liabilities			
Trade and other payables	9	415,892,806	294,443,940
Due to related parties	12	125,599,552	142,510,670
Lease Liability - current	10	5,990,161	8,517,970
Current portion of loans payable	14	115,846,982	102,000,000
Total Current Liabilities		663,329,500	547,472,580
Non Current Liabilities			
Lease Liability - noncurrent	10	3,345,594	5,305,254
Loans payable	14	318,176,101	317,297,054
Retirement benefit obligation	13	15,847,458	7,973,457
Deferred tax liability		880,094	3,741,852
Deposit for future stock subscription		89,000,000	89,000,000
Total Non Current Liabilities		427,249,248	423,317,618
Total Liabilities		1,090,578,748	970,790,198
Equity			
Capital stock	11	1,324,708,420	1,324,708,420
Additional paid-in capital	11	541,569,110	541,569,110
Equity reserve		(1,978,794)	(1,978,794)
Retained earnings / (Deficit)		27,356,712	35,459,752
Other comprehensive income		307,308,818	306,012,040
Non-controlling interest		(4,290,846)	(3,959,990)
Total Equity		2,194,673,420	2,201,810,538
Total Liabilities and Equity		3,285,252,168	3,172,600,736

NOW CORPORATION AND SUBSIDIARIES CONSOLIDATED STATEMENTS OF INCOME

	Sep. 30, 2025	Sep. 30, 2024
	Unaudited	Unaudited
REVENUES		
Service Revenue	106,506,438	157,706,659
Sales	1,035,968	1,135,773
Total Revenues	107,542,406	158,842,432
COST OF SALES AND SERVICES		
Cost of services	41,414,132	57,857,495
Cost of sales	426,384	1,624,782
Cost of sales and services	41,840,516	59,482,277
Gross profit	65,701,891	99,360,155
GENERAL AND ADMIN EXPENSES		
Salaries and other benefits	11,456,041	20,431,892
Outside Services	1,389,039	2,551,922
Rental	658,898	658,898
Taxes and licenses	2,980,510	7,223,533
Professional fees	2,890,702	11,388,562
Utilities	319,444	115,166
Transportation and travel	2,950,225	3,952,571
Advertising and promotion	9,800	824,149
Depreciation and amortization	4,517,660	4,303,857
Repairs and maintenance	353,593	266,926
Communication & Subscription	1,723,488	2,907,496
Representation expense	997,034	5,804,425
Supplies	458,318	854,733
Insurance	54,386	261,976
Others- Expenses	1,656,711	2,191,091
Total Operating Expenses	32,415,848	63,737,197
NET OPERATING INCOME (LOSS)	33,286,043	35,622,958
OTHER INCOME (CHARGES)		
Interest expense	(17,879,943)	(22,436,009)
Interest income	5,325,935	5,337,777
Equity in Net Income of an Associate	(9,667,971)	(2,842,536)
Other Income	1,122,033	2,272,830
Other Charges	(597,793)	(229,986)
Sub-total	(21,697,739)	(17,897,924)
INCOME (LOSS) BEFORE INCOME TAX	11,588,304	17,725,034
PROVISION FOR INCOME TAX		
Current	2,897,076	4,594,772
Deferred		
	2,897,076	4,594,772
NET INCOME	8,691,228	13,130,262

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
For the Period of September 30, 2025 and 2024

	<u>Sep. 30, 2025</u>	<u>Sep. 30, 2024</u>
	<u>Unaudited</u>	<u>Unaudited</u>
NET INCOME (LOSS) ATTRIBUTABLE TO:		
Equity holders of the Company	8,921,443	13,352,281
Non controlling Interest	(230,215)	(222,019)
	8,691,228	13,130,262

**EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF
THE PARENT COMPANY**

Basic	0.0049	0.0074
Dilluted	0.0048	0.0072

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
For the Period of September 30, 2025, and 2024

	September 30, 2025 Unaudited	September 30, 2024 Unaudited
CAPITAL STOCK		
Common Stock- P0.70 par value Issued and outstanding	1,264,708,420	1,264,708,420
Preferred Stock - P1.00 par value Issued and outstanding	60,000,000	60,000,000
	1,324,708,420	1,324,708,420
ADDITIONAL PAID-IN CAPITAL		
Balance at beginning and end of year	541,569,110	541,569,110
EQUITY RESERVE	(1,978,794)	(1,978,794)
RETAINED EARNINGS (DEFICIT)		
Balance at beginning of year	18,435,269	22,107,471
Net income (loss)	8,921,443	13,352,281
Balance at end of year	27,356,712	35,459,752
OTHER COMPREHENSIVE INCOME	307,308,818	306,012,040
NON-CONTROLLING INTEREST	(4,290,846)	(3,959,990)
TOTAL EQUITY	2,194,673,420	2,201,810,538

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASHFLOW
For the Period of September 30, 2025, and 2024

	September 30, 2025	September 30, 2024
	(Unaudited)	(Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	11,588,304	17,725,034
Interest expense	17,879,943	22,436,009
Adjustments for:		
Depreciation and amortization	4,517,660	4,303,857
Interest income	(5,325,935)	(5,337,777)
Share in Net Income of an Associate	9,667,971	2,842,536
Operating income before working capital change:	38,054,098	41,969,659
Decrease (increase) in:		
Trade and other receivables	(42,098,210)	(52,413,578)
Other current assets	(71,858,324)	(16,710,020)
Increase (decrease) in accounts payable and accrue	108,983,175	30,260,709
Net cash flows used in operations	33,080,740	3,106,770
Interest received	5,325,935	5,337,777
Income taxes paid, including CWTs	(2,897,076)	(4,594,772)
Net cash flows used in operating activities	35,509,599	3,849,775
CASH FLOWS FROM INVESTING ACTIVITIES		
Increase in amounts due from related parties	(19,385,566)	(27,174,386)
Investment and Advances	(2,884,131)	-
(Increase) Decrease in ROU Assets, property and eq	4,474,184	(161,569)
(Increase)Decrease in other noncurrent assets	1,394,517	1,265,271
Cash flows used in investing activities	(16,400,996)	(26,070,684)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from availments of Long-term loans	50,000,000	24,000,000
Increase in due to related parties	(4,104,731)	13,627,379
Payments of Loan		
Principal	(34,584,698)	(25,318,058)
Interest	(17,816,079)	(13,042,431)
Lease liabilities	(206,530)	357,232
Net cash flows from financing activities	(6,712,038)	(375,878)
NET INCREASE IN CASH	12,396,565	(22,596,787)
CASH AT BEGINNING OF YEAR	18,905,102	45,360,044
CASH AT END OF YEAR	31,301,667	22,763,257

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
For the three months ended

	July-Sep 30 (3 Month Period)	
	2025	2024
REVENUES		
Service Revenue	48,422,229	49,056,451
Sales	88,500	1,081,203
Total Revenues	48,510,729	50,137,654
COST AND EXPENSES		
Cost of services	14,007,318	16,854,613
Cost of sales	0	319,577
Cost of sales and services	14,007,318	17,174,190
Gross profit	34,503,411	32,963,464
Salaries and other benefits	2,491,107	6,680,596
Outside Services	445,053	745,061
Rental	219,633	219,633
Taxes and licenses	254,306	1,187,267
Professional fees	852,823	4,348,955
Light and water	101,414	34,826
Transportation and travel	833,830	1,487,453
Advertising and promotion	0	545,266
Depreciation and amortization	1,394,545	1,448,476
Repairs and maintenance	190,084	204,822
Communication & Subscription	927,992	967,781
Representation expense	95,135	2,097,875
Supplies	89,043	139,791
Insurance	26,604	207,528
Others- Expenses	421,250	1,666,499
Total Operating Expenses	8,342,818	21,981,829
NET OPERATING INCOME (LOSS)	26,160,593	10,981,635
OTHER INCOME (CHARGES)		
Interest expense	1,047,033	(7,764,705)
Interest income	1,773,593	1,778,699
Equity in Net Income of an Associate	(7,445,131)	709,355
Other Income	617,751	735,504
Other Charges	(419,356)	(229,986)
Sub-total	(4,426,110)	(4,771,133)
INCOME (LOSS) BEFORE INCOME TAX	21,734,482	6,210,502
PROVISION FOR INCOME TAX		
Current	2,897,076	1,588,486
Deferred		
Sub-total	2,897,076	1,588,486
NET INCOME	18,837,406	4,622,016

NOW CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
For the three months ended

	July-Sep 30 (3 Month Period)	
	2025	2024
NET INCOME (LOSS) ATTRIBUTABLE TO:		
Equity holders of the Company	18,918,751	4,748,424
Non controlling Interest	(81,345)	(126,408)
INCOME (LOSS) BEFORE INCOME TAX	18,837,406	4,622,016
EARNINGS PER SHARE		
ATTRIBUTABLE TO EQUITY HOLDERS		
Basic	0.0105	0.0026
Dilluted	0.0101	0.0025

NOW CORPORATION AND SUBSIDIARIES
AGING OF RECEIVABLES

	September 30 2025	September 30 2024
Current	16,217,072	8,015,338
1-30 days past due	15,501,603	11,913,937
31-60 days past due	5,409,801	403,181
61-90 days past due	2,601,502	269,395
Over 90 days past due	537,832,126	504,460,727
	577,562,105	525,062,578

NOW CORPORATION AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

NOW Corporation (the Parent Company) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on June 5, 1996.

The Parent Company is primarily engaged in the business of providing technology, media and telecommunication (TMT) products and services.

On August 25, 2011, the SEC approved the amendment of the Parent Company's Articles of Incorporation (AOI) to include the following secondary purpose:

- a. Providing professional services and manpower in the field of TMT;
- b. Acting as commission agent, manufacturer's representative, or principal for the purpose, sale, distribution, manufacture, assembly, import or export of any and all classes of materials, merchandise, supplies and commodities of every kind and nature; and
- c. Engaging in the business of general and retail merchants, traders, factors, agents, manufacturers, processors, dealing in or with any and all classes of materials, merchandise, supplies and commodities of every kind and nature.

The Parent Company's shares of stock are listed in the Philippine Stock Exchange.

On December 21, 2016, the Parent Company's Board of Directors (BOD) approved the filing of the Registration Statement, Listing Application and the terms and conditions and such other relevant acts in connection with the intended public offering of the Parent Company's preferred shares. On June 22, 2018, the SEC issued the Certificate of Filing of Enabling Resolution which approved the designation and offering of the Preferred "A" shares. On August 24, 2020, the Parent Company's BOD approved the issuance of these preferred shares to Velarde, Inc. (VI) (see Note 11).

The table below presents the Parent Company's subsidiaries and the respective percentage of effective ownership as at December 31, 2024, 2023 and 2022:

Company Name	Nature of Business	Percentage of Effective Ownership
J-Span IT Services, Inc. (JSIT)	Service	100%
Porteon SEA, Inc. (Porteon)	Manufacturing	100%
I-Resource Consulting International, Inc. (I-Resource)	Service	100%
I-Professional Search Network, Inc. (I-Professional)	Service	75%
Softrigger Interactive, Inc. (Softrigger)	Service	67%

The Parent Company and its subsidiaries are collectively referred herein as "the Group". All the subsidiaries were incorporated in the Philippines, except for JSIT, which was incorporated in Japan.

The Parent Company's registered address is Unit 5-I, 5th Floor, OPL Building, 100 C. Palanca St., Legaspi Village, Makati City.

Approval of Consolidated Financial Statements

The consolidated financial statements of the Group as at December 31, 2024 and 2023 and for the years ended December 31, 2024, 2023 and 2022 were approved and authorized for issue by the Vice-Chairman of the Board (in the absence of the Chairman), the President and the Chief Finance Officer on April 25, 2025 based on the authority delegated by the BOD dated February 25, 2025.

Certificates and Agreements

On November 27, 2015, the National Telecommunications Commission (NTC) issued a Certificate of Registration (CoR) to the Parent Company that will authorize it as a value-added services (VAS) provider for services such as cloud hosting services, virtual private network, multimedia content and program services, online game services, cloud-based multimedia conferencing services, web hosting and cloud-based mail and messaging services. The CoR, which expired on November 26, 2020, was renewed for another five (5) years, or until November 26, 2025.

The Parent Company entered into three (3) separate agreements with NOW Telecom Company, Inc. (NOW TEL), NOW Cable, Inc. (NOW Cable) and News and Entertainment Network Corporation (NewsNet) (the Parties), wherein the Parties mutually agreed to interconnect their respective networks for the Parent Company to provide VAS to the public (VAS contracts) (see Note 12). The VAS agreement between the Parent Company and NOW TEL is effective for five (5) years up to 2025, while the agreements with NOW Cable and NewsNet are effective up to January 1, 2028.

2. Summary of Material Accounting Policy Information

Basis of Preparation

The consolidated financial statements have been prepared in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards. This financial reporting framework includes PFRS, Philippine Accounting Standards (PAS) and Philippine Interpretation from International Financial Reporting Interpretations Committee issued by the Philippine Financial Reporting and Sustainability Standards Council and adopted by the SEC, including SEC pronouncements. The material accounting policy information adopted are consistent with those of the previous years, except as otherwise stated.

Measurement Bases

The consolidated financial statements are presented in Philippine Peso (Peso), which is the Group's functional and presentation currency. All values are rounded to the nearest Peso, unless otherwise indicated.

The consolidated financial statements of the Group have been prepared under the historical cost basis, except for the following accounts:

- lease liabilities measured at present value of future lease payments; and
- retirement liability measured at present value of estimated future cash outflows.

Historical cost is generally based on the fair value of the consideration given in exchange for an asset and the fair value of consideration received in exchange for incurring a liability.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting date.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Further information about the assumptions made in measuring fair value is included in Note 20.

Adoption of Amendments to PFRS Accounting Standards

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following amendments to PFRS Accounting Standards effective January 1, 2024 -

- Amendments to PAS 1, *Presentation of Financial Statements - Noncurrent Liabilities with Covenants* – The amendments clarified that covenants to be complied with after the reporting date do not affect the classification of debt as current or noncurrent at the reporting date. Instead, the amendments require the entity to disclose information about these covenants in the notes to the consolidated financial statements.

The adoption of the amendments to PFRS Accounting Standards did not materially affect the consolidated financial statements of the Group. Additional disclosures were included in the consolidated financial statements, as applicable.

New and Amendments to PFRS Accounting Standards in Issue But Not Yet Effective

Relevant amended PFRS Accounting Standards, which are not yet effective as at December 31, 2024 and have not been applied in preparing the financial statements, are summarized below.

Effective for annual periods beginning on or after January 1, 2025 -

- Amendments to PAS 21, *The Effects of Changes in Foreign Exchange Rates - Lack of Exchangeability* – The amendments clarify when a currency is considered exchangeable into another currency and how an entity determines the exchange rate for currencies that lack exchangeability. The amendments also introduce new disclosure requirements to help users of financial statements assess the impact when a currency is not exchangeable. An entity does not apply the amendments retrospectively. Instead, an entity recognizes any effect of initially applying the amendments as an adjustment to the opening balance of retained earnings when the entity reports foreign currency transactions. When an entity uses a presentation currency other than its functional currency, it recognizes the cumulative amount of translation differences in equity. Earlier application is permitted.

Effective for annual periods beginning on or after January 1, 2026 -

- Annual Improvements to PFRS Accounting Standards Accounting Standards Volume 11:
 - Amendments to PFRS 9, *Financial Instruments – Transaction Price and Lessee Derecognition of Lease Liabilities* – The amendments clarify that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee must apply the derecognition criteria for a financial liability which requires recognition of a gain or loss in profit or loss. The amendments also replace the reference to ‘transaction price as defined by PFRS 15, Revenue from Contracts with Customers’ to ‘the amount determined by applying PFRS 15’ to remove potential confusion. Earlier application is permitted.
 - Amendments to PFRS 10, *Consolidated Financial Statements - Determination of a ‘de facto agent’* – The amendments remove inconsistencies by clarifying that an entity must use judgment to determine whether other parties are acting as de facto agents. Earlier application is permitted.

Deferred effectivity -

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Investment in Associates - Sale or Contribution of Assets Between an Investor and its Associate or Joint Venture* – The amendments address a conflicting provision under the two standards. It clarifies that a gain or loss shall be recognized fully when the transaction involves a business, and partially if it involves assets that do not constitute a business. The effective date of the amendments, initially set for annual periods beginning on or after January 1, 2016, was deferred indefinitely in December 2015 but earlier application is still permitted.

Under prevailing circumstances, the adoption of the foregoing amendments to PFRS Accounting Standards is not expected to have any material effect on the consolidated financial statements of the Group. Additional disclosures will be included in the consolidated financial statements, as applicable.

Basis of Consolidation

The consolidated financial statements of the Group comprise the financial statements of the Parent Company and its subsidiaries. Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee).

When the Parent Company has less than majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- the contractual arrangement with the other vote holders of the investee;
- rights arising from other contractual arrangement; and
- the Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statements of income from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interest having a deficit balance.

Non-controlling interest represents the portion of net results and net assets not held by the Parent Company. These are presented in the consolidated statements of financial position within equity, apart from equity attributable to equity holders of the Parent Company and are separately disclosed in the consolidated statements of income and consolidated statements of comprehensive income.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company. Consolidated financial statements are prepared using uniform accounting policies for similar transactions and other events in similar circumstances. Intercompany balances and transactions, including intercompany profits and losses, are eliminated.

A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity, if any;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes surplus or deficit in profit or loss; and
- Reclassifies the Parent Company's share of component previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Parent Company had directly disposed of the related assets or liabilities.

The assets and liabilities of JSIT are translated into the presentation currency of the Parent Company at the exchange rate as at reporting date while the income and expense accounts are translated at the weighted average exchange rates for the year. The resulting translation differences are presented

as “Cumulative translation adjustments” under the equity account in the consolidated statements of financial position.

In 2017, VI entered into a subscription agreement with I-Professional for the subscription of 6,750 common shares of the latter, representing 25% interest, thereby reducing the ownership of the Parent Company in I-Professional from 100% to 75%. This resulted to an equity reserve amounting to ₱2.0 million.

Financial Assets and Liabilities

Date of Recognition. Financial assets and liabilities are recognized in the consolidated statements of financial position when the Group becomes a party to the contractual provisions of a financial instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

Recognition and Initial Measurement. Financial instruments are recognized initially at fair value, which is the fair value of the consideration given (in case of an asset) or received (in case of a liability). The initial measurement of financial instruments, except for those designated at fair value through profit and loss (FVPL), includes transaction cost.

“Day 1” Difference. Where the transaction in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a “Day 1” difference) in profit or loss. In cases where there is no observable data on inception, the Group deems the transaction price as the best estimate of fair value and recognizes “Day 1” difference in profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the “Day 1” difference.

Classification. The Group classifies its financial assets at initial recognition under the following categories: (a) financial assets at amortized cost, (b) financial assets at fair value through other comprehensive income (FVOCI) and, (c) financial assets at FVPL. The classification of a financial asset largely depends on the Group’s business model and its contractual cash flow characteristics. Financial liabilities, on the other hand, are classified as either financial liabilities at FVPL or financial liabilities at amortized cost.

As at December 31, 2024 and 2023, the Group does not have financial assets at FVOCI and financial assets and liabilities at FVPL.

Financial Assets at Amortized Cost. A financial asset shall be measured at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After the initial recognition, financial assets at amortized cost are subsequently measured at amortized cost using the effective interest method, less allowance for impairment, if any. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the financial assets are derecognized or impaired or through the amortization process.

Cash, trade receivables, contract assets, amounts due from related parties and security deposits (included as part of “Other noncurrent assets” account) are classified under this category.

Financial Liabilities at Amortized Cost. Financial liabilities are categorized as financial liabilities at amortized cost when the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

These financial liabilities are initially recognized at fair value less any directly attributable transaction costs. After the initial recognition, these financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the liabilities are derecognized or through the amortization process.

Accounts payable and other current liabilities (excluding deferred output VAT and statutory payables), due to related parties, short-term loans, long-term loans and lease liabilities are classified under this category.

Reclassification

The Group reclassifies its financial assets when, and only when, it changes its business model for managing those financial assets. The reclassification is applied prospectively from the first day of the first reporting period following the change in the business model (reclassification date).

Impairment of Financial Assets at Amortized Cost

The Group recognizes an allowance for expected credit loss (ECL) based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive. The difference is then discounted at an approximation to the asset’s original effective interest rate.

For trade receivables and contract assets, the Group has applied the simplified approach in measuring ECL. Simplified approach requires that ECL should always be based on the lifetime ECL. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For other financial assets at amortized cost, which mainly comprise of cash in banks, due from related parties and security deposits (included as part of “Other noncurrent assets” account), the Group applies the general approach in measuring the ECL. The ECL is based on the 12-month ECL, which pertains to the portion of lifetime ECL that result from default events on a financial instrument that are possible within 12 months after the reporting date. However, when there has been a significant increase in credit risk since initial recognition, the allowance will be based on the lifetime ECL. When determining whether the credit risk of a financial asset has increased significantly since initial recognition, the Group considers reasonable and supportable information, that is available without undue cost or effort, and that is indicative of significant increases in credit risk since initial recognition.

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization;

- the disappearance of an active market for that financial asset because of financial difficulties; or
- the purchase or origination of a financial asset at a deep discount that reflects the incurred credit losses.

It may not be possible to identify a single discrete event - instead, the combined effect of several events may have caused financial assets to become credit-impaired.

The Group shall directly reduce the gross carrying amount of a financial asset when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof.

Derecognition of Financial Assets and Liabilities

Financial Assets. A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Group retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement; or
- the Group has transferred its right to receive cash flows from the financial asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from a financial asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of ownership of the financial asset nor transferred control of the financial asset, the financial asset is recognized to the extent of the Group’s continuing involvement in the financial asset. Continuing involvement that takes the form of a guarantee over the transferred financial asset is measured at the lower of the original carrying amount of the financial asset and the maximum amount of consideration that the Group could be required to repay.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the profit or loss.

Offsetting of Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statements of financial position.

Classification of Financial Instrument between Liability and Equity

A financial instrument is classified as liability if it provides for a contractual obligation to:

- deliver cash or another financial asset to another entity;
- exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Group; or
- satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

If the Group does not have an unconditional right to avoid delivering cash or another financial asset to settle its contractual obligation, the obligation meets the definition of a financial liability.

Cost to Obtain a Contract with a Customer

The Group recognizes an asset for the incremental cost of obtaining a contract with a customer if the Group expects to recover those costs. Otherwise, those costs are recognized as expense when incurred. The incremental costs of obtaining a contract are those costs that the Group incurs to obtain a contract.

Contract Balances

Contract Assets. A contract asset represents the Group's right to consideration in exchange for goods or services that the Group has transferred to a customer when that right is conditioned on something other than a passage of time. Contract assets are reclassified to trade receivables when payment is due from the customers.

Contract Liabilities. A contract liability represents the Group's obligation to transfer goods to a customer for which the Group has received consideration from the customer. Contract liabilities are recognized as revenue when the Group performs its obligations under the contract.

Other Current Assets

Other current assets mainly include creditable withholding taxes (CWT), deferred input value-added tax (VAT), prepayments, inventories, input VAT, and contract assets.

CWT. CWT represents the amount withheld by the Group's customer in relation to its income. CWT can be utilized as payment for income taxes provided that these are properly supported by certificates of creditable tax withheld at source subject to the rules on Philippine income taxation.

Prepayments. Prepayments represent expenses not yet incurred but already paid. Prepayments are initially recorded as assets and measured at the amount of consideration paid. Subsequently, these are charged to expense as these are consumed in operations or expire with the passage of time. Prepayments that are expected to be incurred no more than 12 months after the reporting date are classified as current assets. Otherwise these are classified as noncurrent assets.

Inventories. Inventories are valued at the lower of cost and NRV. Cost is determined using the weighted average method. All costs directly attributable to acquisition such as the purchase price, transport cost and taxes that are not subsequently recoverable from tax authorities are included as

part of the cost of inventories.

The NRV of inventories is the estimated selling price in the ordinary course of business, less estimated costs necessary to make the sale. In determining the NRV, the Group considers any adjustment necessary for obsolescence.

When the NRV of inventories is lower than its cost, the inventories are written down to its NRV and the excess of the cost over the NRV is charged to profit or loss.

VAT

VAT represents the net amount of VAT recoverable from or payable to the tax authorities. Revenues, expenses and assets are recognized net of the amount of VAT, except:

- where the tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the tax is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- receivables and payables that are stated with the amount of tax included.

The net amount of VAT recoverable from or payable to the tax authorities is presented either as part of “Other current assets” or “Statutory payables” line item under “Accounts payable and other current liabilities” accounts in the consolidated statements of financial position.

Deferred Input VAT. Deferred input VAT represents the unamortized amount of input VAT on capital goods with an aggregate acquisition cost in each of the calendar months exceeding ₱1.0 million claimed and credit against output VAT over 60 months or the estimated useful lives of capital goods, whichever is shorter.

Deferred input VAT on capital goods is classified as current assets if it is expected to be claimed against output VAT over no more than 12 months after the reporting date. Otherwise these are classified as noncurrent assets.

Where the aggregate acquisition cost (exclusive of VAT) of the existing or finished depreciable capital goods purchased or imported during any calendar month does not exceed ₱1.0 million or if the purchase was made on or after January 1, 2022, the total input VAT will be allowable as credit against output VAT in the month of acquisition.

Deferred input VAT also represents the unpaid portion of availed services. Prior to the implementation of the Ease of Paying Taxes (EoPT) Law, VAT was calculated based on gross receipts. Following the enactment of the EoPT Law, the tax base for VAT was revised to gross revenues.

Deferred Output VAT. Deferred output VAT represents the VAT amount on credit sales that is not due to the tax authority until the corresponding amount of receivable is collected. This is recorded under “Trade and other payables” account in the consolidated statements of financial position.

Investments in Associates

An associate is an entity in which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The investments in associates are accounted for under the equity method in the consolidated financial statements. Under the equity method, the investments in associates are initially recognized at cost. Subsequent to initial recognition, the Group recognizes income to the extent of its share in the profit or loss of the associates. Distributions received reduce the carrying amount of the investments.

The carrying amounts of the investments are adjusted to recognize changes in the share of the Group in the net asset of the associates since the acquisition date. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognize further losses, unless it has incurred obligations or made payments on behalf of the associate.

The Group determines at the end of each reporting date whether there is any objective evidence that investment is impaired. If this is the case, the amount of impairment is calculated as the difference between the carrying amount of the investment and its recoverable amount and recognized in profit or loss.

Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the investment in associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in profit or loss.

The reporting dates of the associate are similar with the Group and the associate's accounting policies conform to those used by the Group for like transactions and events in similar circumstances.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation and amortization and any accumulated impairment in value.

The initial cost of property and equipment comprises its purchase price, including nonrefundable purchase taxes and any directly attributable costs of bringing the property and equipment to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operations, such as repairs and maintenance, are normally charged to expense in the period the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Each part of an item of property and equipment with a cost that is significant in relation to the total cost of the item is depreciated and amortized separately.

Depreciation and amortization are computed using the straight-line method over the estimated useful lives of the assets as follows:

Category	Number of Years
Transportation equipment	5
Office and IT equipment	3 to 5
Furniture and fixtures	2 to 3
Leasehold improvements	5 or lease term, whichever is shorter

The estimated useful lives and depreciation and amortization method are reviewed periodically to ensure that the periods and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

When assets are retired or otherwise disposed of, both the cost and related accumulated depreciation and amortization are removed from the accounts and any resulting gain or loss is recognized in profit or loss.

Fully-depreciated and amortized assets are retained as property and equipment until these are no longer in use.

Computer Software

Computer software is stated at cost less accumulated amortization and any impairment in value. The Group capitalizes computer software licensing costs which are being amortized, once available for its intended use, using the straight-line method over three years, the estimated finite useful life of the computer software. The amortization of the computer software is included under "Depreciation and amortization" account in the consolidated statements of income.

The estimated useful life and amortization method are reviewed regularly to ensure that the period and method of amortization are consistent with the expected pattern of economic benefits from the computer software.

An item of computer software is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in profit or loss in the year the asset is derecognized.

The carrying amount of the computer software is recognized as part of "Other noncurrent assets" account in the consolidated statements of financial position.

Impairment of Nonfinancial Assets

Nonfinancial assets are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable. The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses of continuing operations are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase. After the reversal, the depreciation and amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deposits for Stock Subscriptions

Deposits for stock subscriptions represent funds received from existing or potential stockholders to be applied as payment for future issuance of capital stock. Deposits for stock subscriptions are recognized as equity if and only if, all of the following elements forth by the SEC are present as of end of the reporting period:

- The unissued authorized capital stock of the entity is insufficient to cover the amount of shares indicated in the contract, unless the deposit is specific for a proposed increase in capital;
- There is BOD approval on the proposed increase in authorized capital stock (for which a deposit was received by the corporation);
- There is stockholders' approval of said proposed increase; and
- The application for the approval of the proposed increase has been presented for filing or has been filed with the SEC.

If any or all of the foregoing elements are not present, the deposits for stock subscriptions are recognized as liability.

Equity

Capital Stock and Additional Paid-in Capital (APIC). Capital stock is measured at the par value for all shares issued. Excess of proceeds or fair value of consideration received over par value of shares issued is recognized as APIC. Incremental costs, net of tax, incurred that are directly attributable to the issuance of new shares are recognized in equity as a reduction from related APIC or as an addition to Parent Company's deficit balance.

Retained Earnings (Deficit). Retained earnings (Deficit) represents the cumulative balance of the net income or loss, net of any dividend declaration.

Equity Reserve. Equity reserve pertains to the difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration received as a result of change in the ownership interest of a subsidiary.

OCI. OCI comprises of items of income and expenses that are not recognized in profit or loss. OCI represents cumulative unrealized gains on fair value changes on investment in equity securities, cumulative remeasurement losses on retirement liability and cumulative translation adjustments.

Revenue Recognition

Revenue from Contract with Customers

Revenue from contract with customers is recognized when the performance obligation in the contract has been satisfied, either at a point in time or over time. Revenue is recognized over time if one of the following criteria is met: (a) the customer simultaneously receives and consumes the benefits as the Group perform its obligations; (b) the Group's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or (c) the Group's performance does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date. Otherwise, revenue is recognized at a point in time.

The Group's revenue from contracts with customers generally include broadband service contracts which are either offered separately or bundled with software licenses, contracts on sale and/or installation of software licenses, management service contracts and manpower augmentation service contracts.

Revenue from broadband service contracts offered separately, management service contracts and manpower augmentation service contracts are based on a fixed sales price and are recognized over time as the customer simultaneously receives and consumes the benefits provided by the Group.

Revenue from contracts on sale and/or installation of software licenses are recognized at the point in time when substantial control on the goods or service is transferred to the customer. The revenue from these contracts are based on a fixed sales price.

Revenue from broadband service contracts bundled with software licenses comprises two performance obligations, the promise to provide broadband service and transfer software licenses, which are distinct and separately identifiable. Accordingly, the Group allocates the transaction price based on the relative stand-alone selling prices of the broadband services and software license. The Group recognizes revenue from broadband services over time as the customer simultaneously receives and consumes the benefits provided by the Group. Revenue from the transfer of software licenses is recognized at a point in time, generally upon the delivery of the software licenses when the control of the goods is transferred to the customers.

Revenue is disaggregated and presented as "Service fees" and "Sale of goods" accounts, respectively, in the consolidated statements of income.

Service Fees. Fees are recognized when the related services have been rendered.

Sale of Goods. Sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer and the amount of revenue can be measured reliably. Revenue from sale of goods is measured at the fair value of the consideration received, excluding sales taxes, and net of discounts, returns and rebates, if any.

The Group also assesses its revenue arrangements to determine if it is acting as a principal or as an agent. The Group has assessed that it acts as a principal in all of its revenue sources.

Revenue outside the scope of PFRS 15 is recognized as follows:

Interest Income. Income is recognized as the interest accrues taking into account the effective yield on the assets.

Other Income. Income from other sources is recognized when earned.

Cost and Expense Recognition

Costs and expenses are recognized in profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase in a liability, other than distributions to equity participants, has arisen that can be measured reliably.

Cost of Services. Cost of services mainly pertains to the salaries of manpower rendering the broadband services and installation of licenses, as well as the salaries of deployed employees under the manpower augmentation contracts. These are recognized as the services are rendered.

Cost of Sales. Cost of sales mainly pertains to purchase cost of software licenses. These are generally recognized when related goods are sold.

Operating Expenses. Operating expenses constitute costs of administering the business and costs incurred to sell and market the services. These are expensed as incurred.

Interest Expense. Interest expense arising from borrowed funds are recognized in profit or loss using the effective interest method.

Employee Benefits

Short-term Benefits. Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employees and the obligation can be estimated reliably.

Retirement Benefits. The Group has an unfunded, noncontributory defined benefit plan covering all qualified employees. The retirement liability is determined using the projected unit credit method which reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

The Group recognizes service costs, comprising of current service costs and interest costs in profit or loss.

Current service costs pertain to the increase in the present value of a defined benefit obligation resulting from employee service in the current period.

Interest on the retirement liability is the change during the period in the retirement liability that arises from the passage of time which is determined by applying the discount rate based on government bonds to the retirement liability. Interest is calculated by applying the discount rate to the retirement liability.

Remeasurements comprising actuarial gains and losses are recognized immediately in OCI in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

The present value of the defined benefit liability is determined by discounting the estimated future cash outflows using interest rate on government bonds that have terms to maturity approximating the terms of the related retirement liability.

Actuarial valuations are made with sufficient regularity that the amounts recognized in the consolidated financial statements do not differ materially from the amounts that would be determined at the reporting date.

Leases

The Group assesses whether the contract is, or contains, a lease. To assess whether a contract conveys the right to control the use of an identified assets for a period of time, the Group assesses whether, throughout the period of use, it has both of the following:

- a) the right to obtain substantially all of the economic benefits from the use of the identified asset; and
- b) the right to direct the use of the identified asset.

If the Group has the right to control the use of an identified asset for only a portion of the term of the contract, the contract contains a lease for that portion of the term. The Group also assesses whether a contract contains a lease for each potential separate lease component.

The Group as a Lessee. At the commencement date, the Group recognizes ROU assets and lease liabilities for all leases, except for leases with lease terms of 12 months or less (short-term leases) and leases for which the underlying asset is of low value, in which case the lease payments associated with those leases are recognized as an expense in profit or loss on a straight-line basis.

For leases with lease terms of 12 months or less but with an option to extend the lease, the management assesses whether there is reasonable certainty that the Group will extend the lease, by considering all relevant facts and circumstances that create an economic incentive for the lessee to extend or terminate the lease, to determine the appropriate lease term.

ROU Assets. At commencement date, the Group measures ROU assets at cost, which is comprised of the following:

- a) the amount of the initial measurement of lease liabilities;
- b) any lease payments made at or before the commencement date less any lease incentives received;
- c) any initial direct costs; and
- d) an estimation of costs to be incurred by the Group in dismantling and removing the underlying asset, when applicable.

After the commencement date, the ROU assets are carried at cost less accumulated amortization and any accumulated impairment losses, and adjusted for any remeasurement of the related lease liabilities. The ROU assets are amortized over the shorter of the lease terms or the useful lives of the underlying assets.

Lease Liabilities. At commencement date, the Group measures a lease liability at the present value of future lease payments using the interest rate implicit in the lease, if that rate can be readily determined. Otherwise, the Group uses its incremental borrowing rate.

Lease payments included in the measurement of a lease liability consist of the following:

- a) fixed payments, including in-substance fixed payments;
- b) variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- c) amounts expected to be payable by the lessee under residual value guarantees; and
- d) the exercise price under a purchase option that the Group is reasonably certain to exercise; lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option; and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

A lease liability is subsequently measured at amortized cost. Interest on the lease liability and any variable lease payments not included in the measurement of lease liability are recognized in profit or

loss unless these are capitalized as costs of another asset. Variable lease payments not included in the measurement of the lease liability are recognized in profit or loss when the event or condition that triggers those payments occurs.

If there is a change in the lease term or if there is a change in the assessment of an option to purchase the underlying asset, the lease liability is remeasured using a revised discount rate after considering the revised lease payments on the basis of the revised lease term or reflecting the change in amounts payable under the purchase option. The lease liability is also remeasured using the revised lease payments if there is a change in the amounts expected to be payable under a residual value guarantee or a change in future lease payments resulting from a change in an index or a rate used to determine those payments.

Income Taxes

Current Tax. Current tax is the expected tax payable on the taxable income for the year, using the tax rate enacted or substantively enacted at the reporting date.

Deferred Tax. Deferred tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences and carry forward benefits of unused tax credits from net operating loss carry-over (NOLCO) and excess of minimum corporate income taxes (MCIT) over regular corporate income tax (RCIT) to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and unused tax credits from NOLCO and excess of MCIT over RCIT can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rate and tax laws in effect at the reporting date.

Deferred tax is recognized in profit or loss, except to the extent that it relates to items directly recognized in OCI.

Deferred tax assets and liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

EPS Attributable to the Equity Holders of the Parent Company

Basic EPS is computed by dividing net income for the year attributable to common shareholders by the weighted average number of common stock outstanding during the year with retroactive adjustments for any stock dividends declared and stock split.

Diluted EPS is calculated by adjusting the weighted average number of common stock outstanding to assume conversion of all potential dilutive common stock.

Where the EPS effect of potential dilutive common stock would be anti-dilutive, basic and diluted EPS are stated at the same amount.

Related Party Relationships and Transactions

A related party relationship exists when one party has the ability to control, directly, or indirectly through one or more intermediaries, or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities which are under common control with the reporting entity, or between, and/or among the reporting entity and its key management personnel, directors or its stockholders. In considering each possible related party relationship, attention is directed to the substance of the relationship, and not merely to the legal form.

A related party transaction is a transfer of resources, services or obligation between a reporting entity and a related party.

A related party transaction is considered material if the transaction/s, either individually, or in aggregate over a twelve-month period with the same related party, amounts to ten percent (10%) or higher of a Group's total consolidated assets based on its latest consolidated financial statements.

Operating Segments

For management purposes, the Group's operating segments are organized and managed separately according to the nature of the services offered.

The Group's identified operating segments are consistent with the segments reported to the BOD, which is the Group's chief operating decision maker. Financial information on the operating segments are presented in Note 23 to the consolidated financial statements.

Foreign Currency Translations

Transactions in foreign currencies are recorded using the exchange rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are restated using the rate of exchange prevailing at the reporting date. Foreign exchange differences between the rate at transaction date and the rate at settlement date or consolidated financial statement date are credited to or charged against current operations.

The Group determines the functional currency for each entity within the Group and items included in the financial statements of each entity are measured using that functional currency. For the subsidiary whose functional currency is different from the presentation currency, the Group translates the results of its operations and financial position into the presentation currency. As at the financial reporting date, the assets and liabilities presented (including comparatives) are translated into the presentation currency at the closing rate of exchange prevailing at the financial reporting date while the capital stock and other equity balances are translated at historical exchange rates. The income and expense presented in profit or loss (including comparatives) are translated at the exchange rates at the dates of the transactions, where determinable, or at the weighted exchange average rate during the reporting period. The exchange differences arising from the translation to the presentation currency are recognized as a separate component of equity under the "Cumulative translation adjustments" account in the consolidated statements of financial position.

The functional currency of the Group's subsidiaries is Philippine Peso, except for JSIT which is US Dollar.

Provisions and Contingencies

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed when an inflow of economic benefits is probable.

Events After the Reporting Date

Post year-end events that provide additional information about the Group's consolidated financial position at the end of reporting year (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the notes to consolidated financial statements when material.

3. Significant Judgments, Accounting Estimates and Assumptions

The preparation of the Group's consolidated financial statements in accordance with PFRS Accounting Standards requires management to make judgments, accounting estimates and assumptions that affect the application of accounting policies and the amounts of assets, liabilities, income and expenses reported in the consolidated financial statements at the reporting date. The judgments and accounting estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. While the Group believes that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the estimated amounts. Actual results could differ from such estimates. Such estimates will be adjusted accordingly when the results become determinable.

Judgments, accounting estimates and assumptions are continually evaluated and are based on historical experiences and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the consolidated financial statements:

Determining Significant Influence over the Investee. The Group determines that it has significant influence when it has a holding of 20% to 50% of the voting power of the investee, unless it can be clearly demonstrated that this is not the case. Conversely, a holding of less than 20% of the voting power is presumed not to give rise to significant influence, unless it can be clearly demonstrated that there is in fact significant influence.

The Group has determined that it has significant influence over NOW TEL and Softweb Consulting, Inc. (Softweb) as at December 31, 2024 and 2023:

NOW TEL

The Group considers its investment in NOW TEL as an investment in an associate. Critical judgment was exercised to assess whether the Group demonstrates significant influence over NOW TEL, such as the representation of the Group in the BOD of NOW TEL, participation in the policy-making process, and existence of material transactions between the Group and NOW TEL. On this basis, the Group has assessed that it has significant influence over NOW TEL and classified the investments as investment in an associate as at December 31, 2024 and 2023.

Softweb

The Group considers its 50% equity interest in Softweb as an investment in an associate. Critical judgment was exercised to assess the facts and circumstances indicating the elements of control or level of influence of the Group over Softweb, such as the representation on the BOD of Softweb wherein the Group has two (2) representatives out of the five (5) BOD members. On this basis, the Group has determined that it has significant influence, but neither control nor joint control, over the financial and operating policy decisions over Softweb.

Classifying Lease Arrangements, Appropriate Lease Terms and Discount Rate – the Group as a Lessee.

The Group has entered into leases for office spaces, parking spaces and roof decks. The Group recognized lease liabilities on the Group's noncancellable leases, based on the present value of lease payments over the lease term using the Group's incremental borrowing rate, and ROU assets based on the amount of lease liabilities, adjusted by the amount of any prepaid or accrued rent.

Significant management judgments were likewise exercised by the Group in determining the discount rate to be used in calculating the present value of ROU assets and lease liabilities. The discount rate is represented by the incremental borrowing rate as a basis for the discount rate which is the rate that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the ROU asset in a similar economic environment.

The Group availed the exemption for short-term leases on its lease of parking spaces and certain office space and roof decks with terms of 12 months or less. Accordingly, lease payments on these short-term leases are recognized as expense on a straight-line basis over the lease term.

The carrying amounts of the Group's ROU assets and lease liabilities as at December 31, 2024 and 2023 are disclosed in Note 14. Rent expense on short-term leases in 2024, 2023, and 2022 are disclosed in Note 14.

Classifying Financial Instruments. The Group exercises judgment in classifying a financial instrument, or its component parts, on initial recognition as either a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement and the definitions of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the consolidated statements of financial position.

The Group has assessed that the financial assets and liabilities of the Group are classified as financial instruments at amortized cost. The preferred stock of the Parent Company as at December 31, 2024 and 2023 is classified as equity in the consolidated statements of financial position (see Note 11). The Group does not have any contractual obligation to deliver cash or another financial asset as a result of the issuance of its outstanding preferred stock.

Accounting Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the financial reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting year are discussed below.

Assessing the ECL on Financial Assets at Amortized Cost. The Group estimates ECL on trade receivables and contract assets using a provision matrix that is based on days past due for groupings of various customer segments that have similar loss patterns. Depending on the diversity of its debtor's base, the Group uses its historical credit loss experience adjusted for forward-looking factors, as appropriate.

For other financial assets at amortized cost, the Group applies the general approach in measuring the ECL. The Group assessed that cash in banks are deposited with reputable counterparty banks that possess good credit ratings. For security deposits on lease contracts, the Group considered the financial capacity of the lessors to refund the deposits once the lease agreement has been terminated. For related party transactions, the Group considered the available liquid assets of the related parties, letter of support from the stockholders and the mitigation of credit exposure through legally enforceable rights.

The Group assesses that a financial asset is considered credit impaired when one or more events that have a detrimental effect on the estimated future cash flows of the asset have occurred, such as significant financial difficulty of the borrower.

The provision for impairment loss on trade and other receivables recognized by the Group in 2024, 2023, and 2022 are disclosed in Note 17 to the consolidated financial statements.

The carrying amounts of financial assets at amortized cost are disclosed in Notes 4, 5, 6 and 12.

Determining the NRV of Inventories. The Group estimates the allowance for inventory losses related to telecommunication tools and supplies whenever the NRV of these inventories becomes lower than cost due to damage, physical deterioration or obsolescence.

No write-down of inventory was recognized in 2024, 2023, and 2022. Carrying amount of inventories at cost as at December 31, 2024 and 2023 are disclosed in Note 6.

Estimating the Useful Lives of Property and Equipment, ROU Assets, and Computer Software. The useful lives of the Group's property and equipment, ROU assets, and computer software are estimated based on the period over which the assets are expected to be available for use. The estimated useful lives are reviewed and updated if expectations differ from previous estimates.

There were no changes in the useful lives of the Group's property and equipment, ROU assets, and computer software in 2024, 2023, and 2022.

Depreciation and amortization recognized in 2024, 2023, and 2022 are disclosed in Note 8. The carrying amounts of computer software, property and equipment, and ROU assets as at December 31, 2024 and 2023 are disclosed in Notes 6, 8 and 14.

Assessing the Impairment of Nonfinancial Assets. The Group assesses impairment on its nonfinancial assets whenever events or changes in circumstances indicate that the carrying amount of these assets may not be recoverable. The factors that the Group considers important which could trigger an impairment review include the following:

- significant underperformance relative to expected historical or projected future operating results;
- significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- significant negative industry or economic trends.

Management has assessed that there are no indications of impairment on the nonfinancial assets in 2024, 2023, and 2022.

The carrying amounts of the nonfinancial assets are disclosed in Notes 6, 7, 8 and 14.

Estimating the Retirement Liability. The determination of the liability and costs of retirement benefits is dependent on the assumptions used by the actuary in calculating such amounts. Actual results that differ from the Group's assumptions are accumulated and recorded in OCI. While the Group believes that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the retirement liability.

Retirement expense recognized in 2024, 2023, and 2022 and the retirement liability as at December 31, 2024 and 2023 are disclosed in Note 13.

Assessing the Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets at each reporting date are reviewed and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. The Group's assessment on the recognition of deferred tax assets on deductible temporary differences is based on the forecasted taxable income of the subsequent reporting periods. This forecast is based on the Group's past results and future expectations on revenue and expenses.

The details of deferred tax assets as at December 31, 2024 and 2023 are disclosed in Note 21. The Group did not recognize the deferred tax assets as it has assessed that it is not probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

4. Cash

This account consists of:

	Sep. 30, 2025	2024	2023
Cash on hand	₱130,000	₱160,000	₱125,395
Cash in banks	31,171,667	18,745,102	45,234,649
	<u>31,301,667</u>	<u>₱18,905,102</u>	<u>₱45,360,044</u>

As of September 30, 2025, and September 30, 2024, the total cash amounted to Php 31,301,667 and Php22,763,257 respectively. Cash in banks earn interest at prevailing bank deposit rates.

Details of interest income recognized in profit or loss are presented below:

	Note	2024	2023	2022
Cash in banks		₱25,604	₱23,556	₱36,553
Due from related parties	12	7,092,276	7,092,276	7,078,902
		₱7,117,880	₱7,115,832	₱7,115,455

5. Trade and Other Receivables

This account consists of:

	Note	2024	2023
Trade:			
Related parties	12	₱488,443,924	₱421,492,629
Third parties		86,070,384	88,174,203
Advances to officers and employees		6,955,403	4,274,427
		581,469,711	513,941,259
Less allowance for impairment loss		46,005,816	42,662,944
		₱535,463,895	₱471,278,315

The Trade and other Receivables amounted to Php 577,562,105 and Php525,062,578 as of September 30, 2025 and 2024, respectively.

Trade receivables from third parties are noninterest-bearing and are generally on a 30 to 60 days term.

Advances to officers and employees pertain to cash advances for use in day-to-day operations and are liquidated within one month from the date of grant of cash advance.

Movements in allowance for impairment loss are as follows:

	Note	2024	2023
Balance at beginning of year		₱42,662,944	₱42,662,944
Provision	17	3,342,872	—
Balance at end of year		₱46,005,816	₱42,662,944

6. Other Assets

Other Current Assets

This account consists of:

	Note	2024	2023
CWT		₱21,637,025	₱21,794,834
Deferred input VAT		10,821,093	6,971,730
Prepayments		7,445,045	7,253,554
Inventories		5,871,424	7,185,806
Input VAT		1,843,114	4,096,232
Contract assets	15	1,370,685	1,370,685
Others		777,456	777,456
		₱49,765,842	₱49,450,297

Inventories, pertaining to telecommunication tools and supplies, are measured at lower of cost and NRV. Cost of inventories charged to cost of sales and services amounted to ₱2.8 million, ₱1.7 million and ₱4.2 million in 2024, 2023, and 2022, respectively. This is presented as part of “Cost of VAS and other service agreements” line item in the “Cost of sales and services” account in the consolidated statements of income.

Other Current Assets amounted to Php 121,624,167 and Php 64,789,632 as of September 30, 2025 and 2024, respectively.

Other Noncurrent Assets

This account consists of:

	Note	2024	2023
Security deposits	14	₱1,424,916	₱1,406,996
Computer software		1,242,820	1,118,210
Trademarks		75,210	75,210
		₱2,742,946	₱2,600,416

Movements in the computer software are as follows:

	Note	2024	2023
Cost			
Balance at beginning of year		₱10,113,979	₱8,384,442
Additions		1,489,440	1,729,537
Balance at end of year		11,603,419	10,113,979
Accumulated Amortization			
Balance at beginning of year		8,995,769	6,687,685
Amortization	8	1,364,830	2,308,084
Balance at end of year		10,360,599	8,995,769
Carrying Amount		₱1,242,820	₱1,118,210

Other Non-Current Assets amounted to Php1,348,429 and Php 1,335,145 as at September 30, 2025, and 2024, respectively.

7. Investments and Advances

This account consists of the following:

	2024	2023
Investments in and advances to associates:		
NOW TEL	₱2,191,893,508	₱2,192,223,043
Softweb	—	—
	₱2,191,893,508	₱2,192,223,043

Investment in NOW TEL

The Group has 3,656,580 shares of NOW TEL which is equivalent to 24% ownership percentage as at December 31, 2024 and 2023.

Movements in the Parent Company's investment in NOW TEL are as follows:

	2024	2023
Balance at beginning of year	₱2,192,223,043	₱2,196,069,138
Share in net loss	(329,535)	(3,846,095)
Carrying amount	₱2,191,893,508	₱2,192,223,043

The summarized financial information of NOW TEL as at and for the years ended December 31, 2024 and 2023 is as follows:

	2024	2023
Total current assets	₱606,817,996	₱576,235,202
Total noncurrent assets	552,408,374	571,013,040
Total current liabilities	248,377,376	247,458,063
Total noncurrent liabilities	107,159,677	95,582,285
Revenues	76,289,124	57,580,830
Net loss / total comprehensive loss	(1,360,028)	(15,873,275)

On February 22, 2018, NOW TEL secured an extension of its congressional franchise for a period of 25 years or until 2043 under Republic Act No. 10972. The franchise allows NOW TEL to operate mobile radio systems such as paging systems, cellular phone systems, personal communication network and any other similar systems in or outside the country. On January 3, 2006, the NTC granted NOW TEL a provisional authority (PA) to install, operate and maintain nationwide mobile telecommunications systems, offer services and to charge rates therefor. The PA was extended several times, up to but not beyond March 2019. On September 14, 2020, NOW TEL's PA to operate a mobile telecommunications system was extended until September 2023. On September 11, 2023, NOW TEL filed an Ex Parte Motion for Extension of PA.

In an Order (NTC Order) dated March 19, 2025, the NTC denied NOW TEL's Ex Parte Motion for the Extension of PA and ordered the recall of NOW TEL's assigned 20MHz frequency. The NTC Order cited the following non-compliances, among others: (a) failure to infuse additional capital of at least ₱1.9 billion, (b) non-implementation of broadband service in accordance with NOW TEL's proposed roll-out plan; and (c) no transmissions were detected during frequency scanning of the subject frequency band in the six (6) radio stations licensed to NOW TEL.

Pursuant to the 2006 Rules of Practice and Procedure of the NTC, NOW TEL filed its Motion for Reconsideration on April 15, 2025 considering that there are compelling grounds which warrant the reconsideration of the said NTC Order.

On June 6, 2019, the Parent Company's stockholders approved to increase its equity share in NOW TEL up to 30% by way of a share swap transaction between the Parent Company and NOW TEL's stockholders, and delegated the finalization of the share swap price and other terms to the Parent Company's BOD. As at December 31, 2024, the details and other terms of the share swap are not yet finalized.

Cumulative unrealized gains retained in Other Comprehensive Income account after reclassification of investment in NOW TEL from investment in equity securities at FVOCI to investment in associate in 2021 amounted to ₱306,680,554.

Legal Contingencies of NOW TEL

NOW TEL is a party to certain lawsuits or claims which are still pending resolution as at December 31, 2024. NOW TEL's management believes that, based on information currently available and on the opinion of its legal counsel, the outcome of the lawsuits or claims will not have a material effect on the consolidated financial statements and on the prospective financial information or future cash flows of NOW TEL.

NOW TEL has a pending petition with the Supreme Court, contesting NTC's 2005 assessment of Supervision and Regulation Fees (SRF). The assessment included APIC arising from debt restructuring. As supported by existing rules and jurisprudence, the SRF should be computed based on capital stock subscribed or paid but not including APIC arising from debt restructuring. As at April 25, 2025, the petition is still pending decision by the Supreme Court.

Investment in and Advances to Softweb

The Group has an investment amounting to ₱6.0 million equivalent to 50% equity interest in Softweb. Softweb specializes in Lotus consulting and training services.

The Group's share in the losses of Softweb has already exceeded the cost of its investment. Accordingly, the carrying amount of the investment in Softweb as at December 31, 2024 and 2023 is nil. The unrecognized cumulative share in net loss amounted to ₱7.1 million as at December 31, 2024 and 2023. The Group does not have any legal or constructive obligation to make payments on behalf of Softweb.

The Group also has advances amounting to ₱5.0 million pertaining to a deposit for stock subscription. This amount was already fully provided with allowance for impairment loss as at December 31, 2024 and 2023 (see Note 12).

8. Property and Equipment

Movements in this account are as follows:

	2024				
	Transportation Equipment	Office and IT Equipment	Furniture and Fixtures	Leasehold Improvements	Total
Cost					
Balance at beginning of year	₱36,280,190	₱40,945,547	₱2,383,186	₱4,937,446	₱84,546,369
Additions	–	2,354,706	–	–	2,354,706
Balance at end of year	36,280,190	43,300,253	2,383,186	4,937,446	86,901,075
Accumulated Depreciation and Amortization					
Balance at beginning of year	26,744,400	40,111,765	1,400,373	4,937,446	73,193,984
Depreciation and amortization	3,279,787	1,673,919	23,015	–	4,976,721
Balance at end of year	30,024,187	41,785,684	1,423,388	4,937,446	78,170,705
Carrying Amount	₱6,256,003	₱1,514,569	₱959,798	₱–	₱8,730,370

	2023				
	Transportation Equipment	Office and IT Equipment	Furniture and Fixtures	Leasehold Improvements	Total
Cost					
Balance at beginning of year	₱36,280,190	₱39,311,787	₱2,383,186	₱4,937,446	₱82,912,609
Additions	–	1,633,760	–	–	1,633,760
Balance at end of year	36,280,190	40,945,547	2,383,186	4,937,446	84,546,369
Accumulated Depreciation and Amortization					
Balance at beginning of year	23,261,131	37,943,175	1,377,083	4,937,446	67,518,835
Depreciation and amortization	3,483,269	2,168,590	23,290	–	5,675,149
Balance at end of year	26,744,400	40,111,765	1,400,373	4,937,446	73,193,984
Carrying Amount	₱9,535,790	₱833,782	₱982,813	₱–	₱11,352,385

As of September 30, 2025, the carrying amount of the Property and equipment is Php4,783,598.

Transportation equipment with an aggregate carrying amount of ₱5.9 million and ₱9.1 million as at December 31, 2024 and 2023, respectively, were held as collateral for the Parent Company's loans (see Note 10).

Cost of fully depreciated property and equipment that are still used in operations amounted to ₱60.1 million and ₱54.0 million as at December 31, 2024 and 2023, respectively.

Depreciation and amortization recognized as part of “Operating expenses” account in the consolidated statements of income is presented below (see Note 17):

	Note	2024	2023	2022
Property and equipment		₱4,976,721	₱5,675,149	₱4,837,779
ROU assets	14	4,484,562	4,800,492	3,559,881
Computer software	6	1,364,830	2,308,084	2,419,439
		₱10,826,113	₱12,783,725	₱10,817,099

9. Accounts Payable and Other Current Liabilities

This account consists of:

	Note	2024	2023
Trade:			
Related parties	12	₱68,104,495	₱47,201,066
Third parties		51,651,589	50,790,105
Accrued expenses:			
Interest	12	59,903,586	59,903,586
Others		49,181,299	43,265,521
Deferred output VAT		69,394,331	57,368,004
Statutory payables		2,356,296	5,654,949
		₱300,591,596	₱264,183,231

Trade and accounts payable amounted to Php415,892,806 and Php294,443,940 as of September 30, 2025 and 2024, respectively

Trade payables to third parties include amounts due to suppliers of software licenses, materials and supplies and other services directly related to operations. These are unsecured, noninterest-bearing and are generally on a 30 to 60-day term.

Other accrued expenses pertain to accruals for professional fees, outside services and other operating expenses. These are unsecured, noninterest-bearing and are normally settled within the next reporting year.

Statutory payables include output VAT payable, withholding taxes payable and payables to various government agencies which are normally settled within the following month.

10. Short-term and Long-term Loans

Short-term Loans

This account consists of:

	Sep. 30, 2025	2024	2023
Creditor:			
Land Bank of the Philippines (Land Bank)	P-	P-	P50,000,000
Union Bank of the Philippines (UnionBank)	50,000,000	45,000,000	50,000,000
Third party	12,000,000	12,000,000	12,000,000
Stockholder	—	—	—
	P57,000,000	P57,000,000	P112,000,000

UnionBank Loan

The Parent Company availed of an unsecured, short-term loan amounting to P50.0 million with UnionBank. The loan carries an annual interest rate of 8.13% in 2023. In 2024, the Parent Company settled a portion of the loans amounting to P5.0 million and renewed the remaining balance of P45.0 million with an annual interest rate of 9.00% and maturity date of March 17, 2025. In 2025, the loan was further extended up to January 17, 2026.

Loans from a Third Party

In 2019, the Parent Company availed of loans aggregating P14.0 million from a third party, mainly to fund its working capital requirements. The loans have a term of six (6) months and carry an interest rate of 8.00% per annum. The Parent Company paid P2.0 million in 2020. In 2021, the maturities of the loans amounting to P2.0 million and P10.0 million were further extended up to August 2023 and September 2023, respectively. Subsequently, in 2023 and 2024, the maturities of the loans were further extended with the latest maturity of up to February 2025 and March 2025, respectively.

In 2025, the Parent Company further extended its loans amounting to P2.0 million and P10.0 million up to February 2026 and March 2026, respectively.

Land Bank Loan

On February 10, 2021, the Parent Company secured a set of short-term loans totaling P50.0 million with interest rate of 6.50% per annum and six (6) months term. The loans were subsequently renewed and is maturing in July 2023.

The Parent Company settled a portion of the loans amounting to P17.5 million and renewed the remaining P32.5 million for another six (6) months at an annual interest rate of 8.00%. The Parent Company consequently secured another set of loans in 2023 aggregating P17.5 million with an annual interest rate of 8.00% and six (6) months term.

During 2024, the Parent Company settled a portion of the loans amounting to P5.0 million and entered a three (3) year loan restructuring agreement for the remaining balance of P45.0 million, which resulted to penalties totaling P2.8 million (see Note 17). The interest rate is based on the prevailing market rate subject to monthly repricing.

Long-term Loans

This account consists of:

	2024	2023
Creditor:		
Stockholder	₱221,000,000	₱209,201,144
Producers Savings Bank Corporation (PSBC)	89,783,404	81,474,290
Land Bank of the Philippines (Land Bank)	45,000,000	–
Rizal Commercial Banking Corporation (RCBC)	5,760,513	8,546,099
	361,543,917	299,221,533
Current portion	76,488,394	20,528,660
Noncurrent portion	₱285,055,523	₱278,692,873

Loan from a Stockholder (see Note 12)

The details of the impact of discounting of VI loans are as follows:

	2024	2023
Principal		
Balance at beginning and end of year	₱221,000,000	₱221,000,000
Unamortized discount		
Balance at beginning of year	11,798,856	–
Accretion of interest	(11,798,856)	(11,171,521)
Effect of loan modification	–	22,970,377
Unamortized portion	–	11,798,856
Carrying amount	₱221,000,000	₱209,201,144

Interest expense charged to profit or loss amounted to ₱11.8 million, ₱3.9 million and ₱6.0 million in 2024, 2023 and 2022, respectively. Interest payable amounted to nil and ₱11.2 million as at December 31, 2024 and 2023, respectively.

PSBC Loan

On October 31, 2018, the Parent Company obtained a five-year ₱50.0 million loan agreement with PSBC which is to be settled in 36 monthly payments starting February 2021 until January 2024. The loan carries an interest rate of 8% per annum. This was fully settled in January 2024.

On June 16, 2022, the Parent Company further obtained a six-year ₱10.0 million loan which is to be settled in 10 semi-annual payments starting January 2024 until maturity in June 2028. The loan carries an interest rate of 9% per annum.

On December 6, 2023, the Parent Company availed of an additional five-year ₱75.0 million loan which is to be settled in 60 monthly payments starting January 2024 until maturity in December 2028. The loan carries an interest rate of 11% per annum.

On September 17, 2024, the Parent Company obtained an additional five-year ₱24.0 million loan which is to be settled in 60 monthly payments starting October 2024 until maturity in September 2029. The loan carries an interest rate of 11% per annum.

RCBC Loan

In 2021, the Parent company availed of chattel mortgage loans aggregating ₱7.1 million from RCBC for purchases of transportation equipment. The loans are to be settled in 60 equal monthly payments, have a term of five (5) years and bears interest rates ranging from 9.43% to 10.35% per annum.

In 2022, the Parent Company further availed of chattel mortgage loans aggregating ₱6.6 million from the same bank. The loans are to be settled in 60 equal monthly payments, have a term of 5 years and bear interest rate of 9.44% per annum.

The transportation equipment is held as collateral for the Parent Company's loans (see Note 8).

Interest Expense

Details of interest expense recognized in profit or loss are as follows:

	Note	2024	2023	2022
Interest expense on:				
Short-term loans		₱5,187,846	₱9,069,500	₱13,261,564
Long-term loans		26,452,828	14,317,351	3,425,368
Lease liabilities	14	465,238	617,049	411,592
		₱32,105,912	₱24,003,900	₱17,098,524

The interest expense for Nine months of 2025 and 2024 amounted to Php17,879,943 and Php22,436,099 respectively. Starting January 2, 2025, the Shareholder loan shall accrue interest based on prevailing market rate. However, On July 01, 2025, the Company and the Shareholder agreed for an extension of another year the moratorium on interest and principal payment retroactive on Jan.01, 2025.

11. Capital Stock

Preferred Stock

On November 8, 2016, the Parent Company's stockholders approved the amendment in the AOI to reclassify 60,000,000 unissued common shares to redeemable, convertible, cumulative, non-participating and non-voting Peso-denominated preferred shares, with or without detachable warrants at ₱1.00 a share. This was approved by the SEC on January 10, 2017.

On May 21, 2018, the BOD approved and ratified the designation of the 5,000,000 redeemable, convertible, cumulative, non-participating and non-voting Peso-denominated preferred shares as the Preferred "A" shares. On the same date, the BOD approved the offering of the Preferred "A" shares, with an oversubscription option of additional 5,000,000 Preferred "A" shares, with 25,000,000 underlying common shares and an additional 25,000,000 common shares upon the exercise of the oversubscription option, which common shares shall be issued upon conversion of the Preferred "A" shares, with detachable warrants. This was approved by the Parent Company's stockholders on June 1, 2018.

On June 22, 2018, the SEC issued the Certificate of Filing of Enabling Resolution which approved the designation and offering of the Preferred "A" shares.

On August 24, 2020, the Parent Company's stockholders approved the subscription of VI to 60,000,000 redeemable, convertible, cumulative, non-participating and non-voting Peso-denominated preferred shares at a subscription price of ₱1.00 a share. No APIC was recognized on the issuance. The preferred shares issued to VI may be converted to common shares at 1:1 ratio at any time from the first anniversary after the issue date of the preferred shares until the 5th anniversary after the issue date. The preferred shares also have one (1) free detachable warrant for

every preferred share which are exercisable after the 2nd anniversary common shares at a conversion price of ₱2.25 per common share.

Common Stock

On July 28, 2020, the Parent Company's BOD approved the conversion of advances from VI amounting to ₱89.0 million into equity at a conversion price of ₱2.18 a share. This was approved by the Parent Company's stockholders on June 24, 2021 and is classified as deposits for stock subscription in the consolidated statements of financial position. As at reporting date, the Parent Company is in the process of converting the said advances to equity for filing with the SEC (see Note 12).

Increase in Authorized Capital Stock

On October 23, 2020, the Parent Company's BOD approved to increase the Parent Company's authorized capital stock from a total of ₱1,502.0 million (common stock and preferred stock) to ₱1,858.0 million. On June 24, 2021, the Parent Company's stockholders unanimously ratified the approval of the BOD. As at reporting date, the application for the planned increase is yet to be filed with the SEC.

Below is the track record of issuance of the Parent Company's securities:

Date of Approval	Nature	Number of shares		Issue/Offer Price
		Authorized	Issued/Subscribed	
July 30, 2003	Common stock	40,000,000	28,000,000	₱1.00
November 11, 2008	Common stock	1,320,000,000	1,289,278,350	₱1.00
December 17, 2015	Common stock	2,120,000,000	200,000,000	₱1.00
November 6, 2019	Common stock	2,060,000,000	155,294,118	₱0.70
March 16, 2020	Common stock	2,060,000,000	32,153,846	₱0.70
August 24, 2020	Common stock	2,060,000,000	102,000,000	₱0.70
August 24, 2020	Preferred stock	60,000,000	60,000,000	₱1.00

12. Related Party Transactions

The transactions and balances of the Group with its related parties are as follows:

	Nature of Transaction	Transactions during the Year		Outstanding Balances	
		2024	2023	2024	2023
Trade and other receivables					
Entities under common control	Infrastructure build-up services	₱70,000,000	₱65,000,000	₱474,985,765	₱418,094,228
	Management fees	9,000,000	9,000,000	9,900,159	109,201
Stockholder	Management fees	240,000	240,000	3,558,000	3,289,200
				₱488,443,924	₱421,492,629
Due from related parties					
Stockholders	Advances	₱—	₱—	₱122,634,179	₱122,634,179
	Interest	7,092,276	7,092,276	43,797,350	36,705,074
Entities under common control	Advances	39,377,922	97,858,307	162,664,859	165,294,549
				₱329,096,388	₱324,633,802
Accounts payable and other current liabilities					
Entities under common control	VAS and other service agreements	₱36,935,783	₱51,308,298	₱60,830,660	₱39,991,713
	Outside services	1,120,347	1,018,767	7,273,835	7,209,353
Stockholders	Interest	—	—	59,903,586	59,903,586
				₱128,008,081	₱107,104,652
Short-term and long-term loans and interest payable					
Stockholder	Principal	₱—	₱221,000,000	₱221,000,000	₱221,000,000
	Interest	11,798,856	11,171,521	—	11,171,521
				₱221,000,000	₱232,171,521
Due to related parties					
Stockholders	Advances	₱40,358,170	₱144,729,323	₱125,775,431	₱124,971,029

	Nature of Transaction	Transactions during the Year		Outstanding Balances	
		2024	2023	2024	2023
<i>Entities under common control</i>	Leases	–	–	2,896,778	2,896,778
	Leases	240,000	240,000	87,466	70,666
	Advances	–	–	339,396	339,606
	Services	–	–	605,212	605,212
				₱129,704,283	₱128,883,291

Trade and Other Receivables

- a. *Infrastructure Build-up Services.* The Parent Company has service agreements with NOW TEL, NOW Cable and NewsNet wherein the Parent Company will provide infrastructure build-up and technology design services, including project management, design, planning, and installation of major network hubs for a contract price of ₱5.0 million per network hub in order to facilitate the Parent Company's provision of VAS to the public.

Service revenue recognized related to infrastructure build-up amounted to ₱70.0 million, ₱65.0 million and ₱80.0 million in 2024, 2023, and 2022, respectively.

- b. *Technical Services.* Part of the service agreements discussed above is to provide technical consultancy services for a period of ten (10) years with a monthly fee of ₱50,000 each for NOW Cable and NewsNet. The parties mutually agreed to defer this arrangement since no technical services related to the project was provided to NOW Cable and NewsNet in 2024, 2023, and 2022.
- c. *Management Services.* The Parent Company entered into a contract with the Asian Institute of Journalism and Communication (AIJC) to provide management services beginning January 1, 2018 to December 31, 2020 for a monthly fee. The contract was renewed for another five (5) years or until December 31, 2025. Service revenue amounted to ₱1.2 million in 2024, 2023, and 2022.

The Parent Company also entered into a contract with NOW TEL to provide day-to-day management services beginning January 1, 2016 to January 1, 2022. The contract was renewed for another five (5) years or until January 2, 2027. Service revenue from this contract amounted to ₱7.8 million in 2024, 2023, and 2022.

The Parent Company also charges VI management fees for performing accounting and administrative functions of VI. Management fees charged to VI amounted to ₱0.2 million in 2024, 2023, and 2022.

Due from Related Parties

- a. In 2018, the Parent Company entered into a deed of sale with Joyce Link to sell certain advances to and receivables from other related parties to Joyce Link in exchange for a one-year promissory note amounting to ₱88.7 million with interest of 8% per annum. The promissory note is convertible to common stock at the option of the holder. No gain or loss was recognized on the transaction.

Interest income earned amounting to ₱7.1 million in 2024, 2023, and 2022 from the promissory note were recognized as part of the advances to Joyce Link (see Note 4).

- b. The Group has advances to Softweb amounting to ₱5.0 million which was already fully provided with allowance for impairment loss as at December 31, 2024 and 2023 (see Note 7).
- c. The Group has other advances to stockholders and related parties for working capital purposes. These are unsecured, noninterest-bearing and do not have definite repayment terms.

Accounts Payable and Other Current Liabilities

- a. *VAS and Other Service Agreements.* The VAS and other service agreements allow NOW TEL, NOW Cable and NewsNet to charge the Parent Company for: (a) the actual usage of bandwidth under a cost-plus-margin arrangement, (b) the network services provided through a revenue-sharing arrangement, and (c) network connectivity fee for the Parent Company's use of the site and communication equipment of NOW Cable and NewsNet in its operations.

Total cost related to VAS and other service agreements presented under the "Cost of sales and services" account in the consolidated statements of comprehensive income are as follows (see Note 16):

	2024	2023	2022
Bandwidth costs	₱19,553,704	₱33,413,531	₱40,173,017
Cost of VAS and other service agreements	9,282,624	9,061,188	8,421,793
Network connectivity fees	8,099,455	8,833,579	14,270,247
	₱36,935,783	₱51,308,298	₱62,865,057

- b. On January 3, 2017, the Parent Company renewed its service agreement with Knowledge Professionals Service Cooperative (KPSC) for a period of five (5) years beginning January 13, 2017 to January 2, 2022. The agreement was subsequently renewed for another 5 years or until January 2, 2027. Under the service agreement, KPSC shall provide consultancy and manpower services depending on the services specifically required by the Group.

Outside services incurred by the Parent Company for the services provided by KPSC amounted to ₱1.1 million, ₱1.0 million, and ₱0.9 million in 2024, 2023, and 2022, respectively (see Note 17).

Due to Related Parties

- a. In 2015, VI waived the interest accruing on the interest-bearing advances due to VI including any subsequent advances to be received. Outstanding accrued interest at the time of waiver amounting to ₱59.9 million as at December 31, 2024 and 2023 were recorded as part of "Accounts payable and other current liabilities" account in the consolidated statements of financial position (see Note 9).
- b. The Group has other advances from related parties under common control for working capital purposes.

Loan with VI

On May 24, 2022, the BOD, in its special meeting, approved to reverse its approval on July 1, 2021 on the conversion into equity of the ₱221.00 million advances from VI. The BOD likewise approved the conversion of said advances into an interest-bearing loan, effective May 24, 2022, with a term of one (1) year, renewable upon mutual agreement of the parties, with interest based on prevailing market rates (see Note 11). On April 29, 2023, the Parent Company and VI entered into an agreement to extend the maturity date of the loans until January 1, 2030. The loan shall have an interest-free period from the effectivity of the renewed loan until January 1, 2025, after which the loan shall accrue interest based on prevailing market rate (see Note 10).

Terms and Conditions of Transactions with Related Parties

Outstanding balances are unsecured, noninterest-bearing (except for due from Joyce Link) and are collectible/payable either on demand or settled in cash on a 30 to 60 days term, except for due from and to related parties which do not have definite repayment terms. There were no guarantees provided or received for any related party receivables.

No ECL was recognized on trade and other receivables and due from related parties in 2024, 2023, and 2022.

Compensation of Key Management Personnel

Compensation of key management personnel presented as part of “Salaries and employee benefits” line item under “Operating expenses” account in the consolidated statements of income consists of short-term employee benefits amounting to ₱12.8 million, ₱8.7 million and ₱9.3 million in 2024, 2023, and 2022, respectively.

There are no post-employment benefits, share-based payment, termination benefits and other long-term benefits provided to the key management personnel of the Group.

On July 3, 2020, the Parent Company’s BOD approved the planned stock grant to the eligible members of the key management personnel based on the number of years of service. This plan is yet to be approved by the Parent Company’s stockholders as of report date.

Approval Requirements and Limits on the Amount and Extent of Related Party Transactions

All individual material related party transactions (MRPT) and those involving directors and/or officers shall be approved by at least two-thirds (2/3) vote of the BOD, with at least a majority of the independent directors voting to approve the MRPT. In case that a majority of the independent directors’ vote is not secured, the MRPT may be ratified by the vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock.

Aggregate related party transactions within a 12-month period that meets or breaches the materiality threshold shall require the same BOD approval mentioned above.

Eliminated Related Party Transactions

Related party transactions eliminated in the consolidation pertains to trade receivables/payables and due to/from related parties. Total trade receivables/payables eliminated in 2024 and 2023 amounted to ₱4.2 million. Total due to/from related parties eliminated in 2024 and 2023 amounted to ₱32.6 million and ₱31.7 million, respectively.

13. Retirement Liability

The Group has an unfunded, non-contributory defined benefit plan covering all qualified employees. The retirement liability is based on a report of actuarial valuation done by an independent external actuary. The latest available actuarial report of the Group is as at December 31, 2024.

Retirement expense presented as part of “Salaries and employee benefits” line item under “Operating expenses” account in the consolidated statements of income is as follows:

	2024	2023	2022
Current service cost	₱1,373,663	₱1,018,462	₱986,531
Interest cost	464,926	380,400	344,093
	₱1,838,589	₱1,398,862	₱1,330,624

Movements in the retirement liability are as follows:

	2024	2023
Balance at beginning of year	₱7,731,826	₱6,332,964
Remeasurement loss	6,550,888	–
Current service cost	1,373,663	1,018,462
Interest cost	464,926	380,400
Balance at end of year	₱16,121,303	₱7,731,826

The cumulative remeasurement losses recognized in OCI amounted to ₱8.3 million and ₱1.8 million as at December 31, 2024 and 2023, respectively.

The assumptions used by the Group in determining retirement expense are discount rates of 6.08% to 6.13% and 6.00% to 7.06% in 2024 and 2023, respectively, and salary increase rate of 3.00% to 5.00% for the years ended December 31, 2024 and 2023.

The sensitivity analysis based on reasonably possible changes in the assumptions as at December 31, 2024 is as follows:

	Change in Assumption	Effects on Retirement Liability	
		2024	2023
Discount rate	+1%	(₱333,012)	(₱269,988)
	-1%	556,461	(221,048)
Salary increase rate	+1%	642,689	13,834
	-1%	(366,379)	(274,454)

Each sensitivity analysis on the significant actuarial assumptions was prepared by remeasuring the retirement liability at the reporting date after adjusting one of the current assumptions according to the applicable sensitivity increment or decrement (based on changes in the relevant assumption that were reasonably possible at the valuation date) while all other assumptions remained unchanged. The corresponding change in the retirement liability was expressed as a percentage change from the base retirement liability.

The table below shows the maturity analysis of the undiscounted benefit payments:

Within five years	₱15,897,916
More than 5 years but less than 20 years	4,427,450
20 years or more	4,273,477
	<u>₱24,598,843</u>

The average duration of the defined benefit liability is from 3.1 to 15 years and 16 to 18 years as at December 31, 2024 and 2023, respectively.

14. Lease Commitments

Long-term Leases

The Group leases office spaces and roof decks from various entities with terms ranging from two to five years. These are renewable upon mutual agreement of the parties and do not contain any purchase options.

The Group recognized ROU assets and lease liabilities for its lease agreements on office spaces and roof decks.

Movements in ROU assets as at December 31 are as follows:

	Note	2024	2023
Cost			
Balance at beginning of year		₱20,918,459	₱18,007,464
Additions		747,154	6,282,024
Termination		(1,685,395)	(1,775,838)
Expired portion		(1,417,385)	(1,595,191)
Balance at end of year		18,562,833	20,918,459
Accumulated Amortization			
Balance at beginning of year		10,908,761	8,738,100
Amortization	8	4,484,562	4,800,492
Termination		(1,313,127)	(1,034,641)
Expired portion		(1,417,385)	(1,595,191)
Balance at end of year		12,662,811	10,908,760
Carrying Amount		<u>₱5,900,022</u>	<u>₱10,009,699</u>

Movements in lease liabilities as at December 31 are as follows:

	Note	2024	2023
Balance at beginning of year		₱13,465,992	₱11,837,228
Rental payments		(4,726,606)	(4,474,350)
Additions		747,154	6,282,024
Interest	10	465,238	617,049
Termination		(409,493)	(795,959)
Balance at end of year		9,542,285	13,465,992
Current portion		6,196,691	7,768,052
Noncurrent portion		<u>₱3,345,594</u>	<u>₱5,697,940</u>

The incremental borrowing rate ranging from 3.75% to 7.01% was applied to the lease liabilities. ROU assets were measured at the amount of the lease liabilities, adjusted by the amount of prepaid and

accrued rent at commencement date.

In 2024 and 2023, management decided to terminate certain leases resulting to a gain on reversal of the lease liabilities amounting to ₱37,225 and ₱54,762, respectively.

Short-term Leases

The Group leases parking spaces and certain office space and roof decks for a period of less than one year and is renewable at the option of the parties.

Rent expense arising from short-term leases amounted to ₱3.6 million, ₱4.5 million, and ₱4.6 million in 2024, 2023, and 2022, respectively. Security deposits amounted to ₱1.4 million as at December 31, 2024 and 2023 (see Note 6).

The amounts recognized in profit or loss are as follows:

	Note	2024	2023	2022
Rent expense:				
Cost of sales and services	16	₱3,082,336	₱3,987,349	₱4,148,014
Operating expenses	17	518,531	518,531	420,837
Amortization of ROU assets		4,484,562	4,800,492	3,559,881
Interest expense on lease liabilities		465,238	617,049	411,592
		₱8,550,667	₱9,923,421	₱8,540,324

Total cash outflows related to leases are as follows:

	2024	2023
Long-term leases	₱4,726,606	₱4,474,350
Short-term leases	3,600,531	4,505,880
	₱8,327,137	₱8,980,230

Maturity analysis of undiscounted contractual lease payments from December 31 is as follows:

	2024	2023
On demand	₱3,132,000	₱2,630,000
Within one year	4,314,661	5,461,302
After one year but not more than five years	2,643,285	6,065,714
	₱10,089,946	₱14,157,016

15. Revenue

Disaggregation of the Group's revenue from contracts with customers is presented below:

	2024		
	Service fees	Sale of goods	Total
Broadband services	₱92,415,140	₱—	₱92,415,140
Management services	79,240,000	—	79,240,000
Manpower augmentation	13,655,856	—	13,655,856
Sale and/or installation of software licenses	—	4,369,045	4,369,045
	₱185,310,996	₱4,369,045	₱189,680,041

	2023		
	Service fees	Sale of goods	Total
Broadband services	₱93,303,008	₱—	₱93,303,008
Management services	74,240,000	—	74,240,000
Manpower augmentation	19,971,026	—	19,971,026
Sale and/or installation of software licenses	—	4,270,436	4,270,436
	₱187,514,034	₱4,270,436	₱191,784,470

	2022		
	Service fees	Sale of goods	Total
Broadband services	₱93,039,089	₱—	₱93,039,089
Management services	87,742,259	—	87,742,259
Manpower augmentation	14,679,235	—	14,679,235
Sale and/or installation of software licenses	—	7,083,005	7,083,005
	₱195,460,583	₱7,083,005	₱202,543,588

Broadband services pertain to contracts with commercial and residential customers to provide broadband services based on a fixed monthly fee. Normal terms range from one (1) to two (2) years. These contracts are offered separately or bundled with sale and/or installation of software licenses.

Management services are fees charged for various services provided by the Parent Company to its related parties (see Note 12).

Manpower augmentation services are contracts between I-Resource and various customers to provide manpower specializing in IT. These contracts have a fixed monthly fee and have terms ranging from six (6) months to one (1) year.

Contract Assets

Contract assets arise from the Group's sale of broadband service contracts bundled with software licenses wherein the Group has established its right to consideration in exchange for software licenses already delivered to the customers before payments are due.

Contract assets amounted to ₱1.4 million as at December 31, 2024 and 2023. No ECL was recognized on the contract assets in 2024, 2023, and 2022.

Contract assets are reclassified to trade receivables upon completion of the specific performance obligation.

16. Cost of Sales and Services

This account consists of:

	Note	2024	2023	2022
Cost of VAS and other service agreements	12	₱36,935,783	₱51,308,298	₱62,865,057
Salaries and employee benefits		25,072,286	26,967,735	23,643,548
Installation costs		3,094,773	2,072,615	4,652,720
Rent	14	3,082,336	3,987,349	4,148,014
Cost of software licenses		2,375,127	2,506,043	2,694,278
Transportation and travel		2,051,105	1,855,621	1,956,937
Fuel and oil		361,043	300,749	405,538
Others		2,573,701	4,636,913	5,196,647
		₱75,546,154	₱93,635,323	₱105,562,739

17. Operating Expenses

This account consists of:

	Note	2024	2023	2022
Salaries and employee benefits		₱29,011,752	₱24,715,114	₱24,748,719
Professional fees		13,664,973	9,756,311	8,027,211
Depreciation and amortization	8	10,826,113	12,783,725	10,817,099
Taxes and licenses		7,603,935	3,957,117	4,919,162
Representation		7,346,845	6,440,877	6,024,593
Transportation and travel		5,116,411	5,069,341	3,630,532
Provision for impairment loss on trade and other receivables	5	3,342,872	—	2,345,882
Communication		2,873,692	1,982,852	1,394,942
Penalties	10	2,800,000	—	—
Outside services	12	1,120,347	1,018,767	907,263
Office supplies		972,674	623,295	881,478
Advertising and promotion		813,292	615,824	1,293,337
Rent	14	518,531	518,531	420,837
Utilities		437,929	412,207	411,197
Insurance		263,216	325,996	239,700
Repairs and maintenance		170,732	67,432	609,975
Others		4,816,564	5,666,047	6,773,928
		₱91,699,878	₱73,953,436	₱73,445,855

Others consist of marketing and medical expenses, security services, and dues and subscription.

18. Basic/Diluted EPS

Basic EPS attributable to the equity holders of the Parent Company were computed as follows:

	2024	2023	2022
Net income (loss) attributable to Parent Company (a)	(₱3,672,202)	₱18,871,990	₱9,275,722
Weighted average number of common shares (b)	1,806,726,314	1,806,726,314	1,806,726,314
Effect of dilution from conversion options and warrants	60,000,000	60,000,000	60,000,000
Weighted average number of common shares adjusted for the effect of dilution (c)	1,866,726,314	1,866,726,314	1,866,726,314
Basic earnings (loss) per share (a/b)	(₱0.0020)	₱0.0104	₱0.0051
Diluted earnings (loss) per share (a/c)	(₱0.0020)	₱0.0101	₱0.0050

19. Financial Risk Management Objectives and Policies

General

The Group has risk management policies that systematically view the risks that could prevent the Group from achieving its objectives. These policies are intended to manage risks identified in such a way that opportunities to deliver the Group's objectives are achieved. The Group's risk management takes place in the context of day-to-day operations and normal business processes such as strategic planning and business planning. It is also established to identify and manage the Group's exposure to financial risks, to set appropriate transaction limits and controls, and to monitor and assess risks and compliance to internal control policies.

Management has identified each risk and is responsible for coordinating and continuously improving risk strategies, processes and measures in accordance with the established business objectives. The BOD has overall responsibility for the establishment and oversight of the Group's risk management framework. Risk management policies and structure are reviewed regularly to reflect changes in market conditions and the activities of the Group.

The Group's principal financial instruments comprise of cash, trade receivables, contract assets, amounts due from related parties, security deposits (included as part of "Other noncurrent assets"), accounts payable and other current liabilities (excluding deferred output VAT and statutory payables), due to related parties, loans payable, and lease liabilities.

The main risks arising from the Group's financial instruments are credit risk, liquidity risk and interest rate risk. The BOD reviews and approves policies for managing these risks. These are summarized below.

Credit Risk

Credit risk is the risk that the obligations to the Group will not be repaid on time and in full as contracted, resulting in a financial loss. It is inherent to the business as potential losses may arise due to the failure of its customers and counter parties to fulfill their obligations on maturity dates or due to adverse market conditions. Exposure to credit risk arises primarily from its financing activities.

Generally, the credit risk of the Group is attributable to financial assets at amortized cost. The Group maintains credit policies and continuously monitors defaults of customers and other counter parties, identified either individually or by group, and incorporate this information into its credit risk controls.

Managing credit risk has both qualitative and quantitative aspects. Credit officers must evaluate the credit quality of the counterparties and assign internal credit ratings upon this evaluation.

The Group defines credit exposure as all transactions where losses might occur due to the fact that counterparties may not fulfill their contractual payment obligations based on original contractual terms. The Group's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amounts of these financial assets. Credit risk from cash in banks is mitigated by transacting only with reputable banks duly approved by management. Credit risk from other financial assets at amortized cost is mitigated by requiring advance payments from new customers.

The tables below summarize the analysis of the Group's financial assets as at December 31:

	2024				
	Neither Past Due nor Impaired		Past due but not impaired	Impaired	Total
	High Grade	Standard Grade			
Cash in banks	₱18,745,102	₱—	₱—	₱—	₱18,745,102
Trade receivables	—	43,117,414	507,756,482	23,640,412	574,514,308
Due from related parties	329,096,388	—	—	—	329,096,388
Security deposits*	1,424,916	—	—	—	1,424,916
	₱349,266,406	₱43,117,414	₱507,756,482	₱23,640,412	₱923,780,714

*Presented under "Other noncurrent assets" account.

	2023				
	Neither Past Due nor Impaired		Past due but not impaired	Impaired	Total
	High Grade	Standard Grade			
Cash in banks	₱45,234,649	₱—	₱—	₱—	₱45,234,649
Trade receivables	—	47,503,439	444,246,613	17,916,780	509,666,832
Due from related parties	—	324,633,802	—	—	324,633,802
Security deposits*	1,406,996	—	—	—	1,406,996
	₱46,641,645	₱372,137,241	₱444,246,613	₱17,916,780	₱880,942,279

*Presented under "Other noncurrent assets" account.

The Group evaluates credit quality on the basis of the credit strength of the security and/or counterparty/issuer. High grade financial assets are those whose collectability is assured based on past experience. Standard grade financial assets are considered moderately realizable, including some accounts which would require some reminder follow-ups to obtain settlement from the counterparty.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's objectives to managing liquidity risk is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking adverse effect to the Group's credit standing.

The Group seeks to manage its liquid funds through cash planning on a weekly basis. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. It also continuously assesses conditions in the financial markets for opportunities to pursue fund raising activities.

The table below summarizes the maturity profile of the Group's financial liabilities as at December 31 based on contractual undiscounted payments:

	2024				Total
	On demand	Less than 3 months	3 to 12 months	More than 1 to 5 years	
Accounts payable and other current liabilities*	₱59,903,586	₱168,937,383	₱—	₱—	₱228,840,969
Short-term and long-term loans**	3,954,564	28,206,836	125,869,964	319,867,301	477,898,665

Due to related parties	129,704,283	—	—	—	129,704,283
Lease liabilities	3,132,000	1,078,665	3,235,996	2,643,285	10,089,946
	₱196,694,433	₱198,222,884	₱129,105,960	₱322,510,586	₱846,533,863

*Excluding deferred output VAT and statutory payables aggregating ₱71.8 million.

**Including future interest payments.

	2023				Total
	On demand	Less than 3 months	3 to 12 months	More than 1 to 5 years	
Accounts payable and other current liabilities*	₱59,903,586	₱141,256,692	₱—	₱—	₱201,160,278
Short-term and long-term loans**	—	53,965,412	76,354,936	296,876,771	427,197,119
Due to related parties	128,883,291	—	—	—	128,883,291
Lease liabilities	2,630,000	1,377,628	4,083,674	6,065,714	14,157,016
	₱191,416,877	₱196,599,732	₱80,438,610	₱302,942,485	₱771,397,704

*Excluding deferred output VAT and statutory payables aggregating ₱63.0 million.

**Including future interest payments.

Interest Rate Risk

Interest rate risk is the risk that future cash flows from a financial instrument (cash flow interest rate risk) or its fair value (fair value interest rate risk) will fluctuate because of changes in market interest rates.

The Group's loans payable to local banks and related parties are subject to fixed and variable interest rates and are exposed to fair value interest rate risk.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on the Group's financial instruments, with all other variables held constant, of the loss before income tax of the Group as at December 31, 2024:

	Change in Interest Rate	Effect on Loss Before Income Tax
Increase	+0.10	(445)
Decrease	(0.10)	445

The long-term debt of the Group is subject to interest rate repricing (see Note 10). The changes in interest rates used in the analysis have been determined based on the average volatility in interest rates of the said borrowing, using standard deviation, in the previous 12 months.

The assumed movement in basis points for the interest rate sensitivity analysis is based on the best estimate of the Group of expected change considering future trends.

There is no impact on the equity of the Group other than those already affecting the statements of comprehensive income.

20. Fair Value of Financial Instruments

Comparison of the carrying amounts and fair values of the financial instruments are as follows:

	2024		2023	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets				
Cash	₱18,905,102	₱18,905,102	₱45,360,044	₱45,360,044
Trade receivables	528,508,492	528,508,492	467,003,888	467,003,888
Contract assets	1,370,685	1,370,685	1,370,685	1,370,685
Due from related parties	329,096,388	329,096,388	324,633,802	324,633,802
Security deposits*	1,424,916	1,424,916	1,406,996	1,406,996

2024		2023	
Carrying Amount	Fair Value	Carrying Amount	Fair Value
₱879,305,583	₱879,305,583	₱839,775,415	₱839,775,415

**Included under "Other noncurrent assets" account*

	2024		2023	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Liabilities				
Accounts payable and other current liabilities*	₱228,840,969	₱228,840,969	₱201,160,278	₱201,160,278
Short-term loans	57,000,000	57,000,000	112,000,000	112,000,000
Long-term loans	361,543,917	320,946,196	299,221,533	264,986,755
Due to related parties	129,704,283	129,704,283	128,883,291	128,883,291
Lease liabilities	9,542,285	9,461,172	13,465,992	12,862,499
	₱786,631,454	₱745,952,620	₱754,731,094	₱719,892,823

**Excluding deferred output VAT and statutory payables aggregating ₱71.8 million and ₱63.0 million as at December 31, 2024 and 2023, respectively.*

Cash, Trade Receivables, Contract Assets, Security Deposits (Included under "Other Noncurrent assets" Account) and Accounts Payable and Other Current Liabilities (Excluding Deferred Output VAT and Statutory Payables) and Short-term Loans. The carrying amounts of these financial instruments approximate their fair values due to the relatively short-term maturity and demand nature of these financial instruments.

Due from and to Related Parties. The carrying amount of due from and to related parties approximate its fair value because these are collectible on demand.

Long-term Loans. The fair values for the Group's long-term loans are estimated using the discounted cash flow method with the applicable rates of 6.03% in 2024 and 5.70% in 2023 (Level 2).

Lease Liabilities. The fair values of the Group's lease liabilities are measured at the present value of the remaining lease payments, discounted using rates of 6.02% and 5.71% (Level 2) in 2024 and 2023, respectively.

There were no transfers between levels in the fair value hierarchy as at December 31, 2024, 2023 and 2022.

21. Income Taxes

The income tax rates used in preparing the consolidated financial statements for the years ended December 31, 2024, 2023 and 2022 are shown below.

	2024	2023	2022
RCIT	25%	25%	25%
MCIT	2%	1.5%	1%

Under the Corporate Recovery and Tax Incentives for Enterprises (“CREATE”) Act, domestic corporations are subject to 25% or 20% RCIT depending on the amount of total assets or total amount of taxable income. In addition, MCIT is computed at 1% of gross income for a period of three (3) years up to June 30, 2023, and reverted to 2% effective July 1, 2023.

The reconciliation of the provision for (benefit from) income tax computed at the statutory income tax rate to the provision for income tax shown in the consolidated statements of income is as follows:

	2024	2023	2022
Provision for (benefit from) income tax			
computed at the statutory income tax rate	(P575,562)	P6,630,589	P3,884,550
Changes in unrecognized deferred tax assets	1,458,324	383,225	1,248,241
Tax effects of:			
Nondeductible expenses	825,976	127,569	337,822
Share in net loss of an associate	82,384	961,524	—
Interest income subjected to final tax	(6,343)	(5,838)	(5,760)
Expired NOLCO and MCIT	1,991	—	26,573
Nondeductible interest expense	1,528	1,409	1,405
	P1,788,298	P8,098,478	P5,492,831

The Group’s provision for current income tax consists of the following:

	2024	2023	2022
RCIT	P4,644,635	P4,345,111	P5,484,994
MCIT	5,421	11,515	7,837
	P4,650,056	P4,356,626	P5,492,831

The components of the Group’s deferred tax liabilities are as follows:

	2024	2023
Unamortized debt issue cost	P854,257	P792,138
Unrealized foreign exchange gain	25,837	—
Effect of loan modification	—	2,949,714
	P880,094	P3,741,852

The details of the Group's unrecognized deferred tax assets as at December 31 are as follows:

	2024	2023	2022
Allowance for impairment loss on trade and other receivables	₱11,496,448	₱10,660,730	₱10,660,730
Retirement liability	1,904,651	1,451,146	1,110,753
NOLCO	978,642	720,884	620,021
Advanced collections received from customers	249,181	257,260	249,181
Effect of PFRS 16	150,740	234,748	312,373
Excess of MCIT over RCIT	24,773	21,343	9,828
	₱14,804,435	₱13,346,111	₱12,962,886

The Group did not recognize deferred tax assets on these temporary differences because management has assessed that it is not probable that there will be sufficient future taxable profit against which the benefit of deferred income tax assets can be utilized.

Details of unused NOLCO that can be claimed as deduction from future taxable income are as follows:

Year incurred	Balance at beginning of year	Incurred	Balance at end of year	Valid until
2024	₱—	₱1,288,792	₱1,288,792	2027
2023	504,312	—	504,312	2026
2022	315,616	—	315,616	2025
2021	1,176,077	—	1,176,077	2026
2020	1,608,414	—	1,608,414	2025
	₱3,604,419	₱1,288,792	₱4,893,211	

On September 30, 2020, the Bureau of Internal Revenue issued Revenue Regulations (RR) No. 25-2020 to implement Section 4 of Republic Act No. 11494 (Bayanihan to Recover as One Act), allowing qualified businesses or enterprises which incurred net operating loss for taxable years 2020 and 2021 to carry over the same as a deduction from its gross income for the next five (5) consecutive taxable years immediately following the year of such loss.

Details of excess of MCIT over RCIT are as follows:

Year incurred	Balance at beginning of year	Incurred	Expired	Balance at end of year	Valid until
2024	₱—	₱5,421	₱—	₱5,421	2027
2023	11,515	—	—	11,515	2026
2022	7,837	—	—	7,837	2025
2021	1,991	—	1,991	—	2024
	₱21,343	₱5,421	₱1,991	₱24,773	

22. Capital Management

The primary objective of the Group's capital management is to ensure that it maintains strong credit rating and stable capital ratios to support its business and maximize shareholders' value.

The Group manages its capital structure and makes adjustments to it, based on the changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Group is not subject to externally imposed capital requirements.

The Group considers the equity attributable to the equity holders of the Parent Company as presented in the consolidated statements of financial position as its core capital. As at December 31, 2024, 2023 and 2022, the Group was able to meet its capital management objectives. No changes were made in the objectives, policies or processes in 2024, 2023, and 2022.

23. Other Matters

On April 20, 2022, the Securities and Exchange Commission (SEC) approved the application of NOW Telecom Company, Inc. (NOW Tel), an affiliate of NOW Corporation (NOW), for an increase in its authorized capital stock and the quasi-reorganization of its equity. Through this approval, NOW effectively increased its direct equity ownership in NOW Tel from 19.00% to 24.23%.

At the Special Meeting held on 01 July 2021, the Board of Directors of NOW Corporation unanimously approved, confirmed, and ratified the offer of an existing shareholder, Velarde, Inc., to convert its advances into equity in the amount of Two Hundred Twenty One Million Pesos (Php221,000,000.00) with the conversion price computed based on the Volume Weighted Average Price (VWAP) of the 30-day trading period ending 24 June 2021 or at Php2.38 per share, and the listing with the Philippine Stock Exchange of additional 92,857,142 common shares resulting from the said conversion. On 24 May 2022, the Board of Directors of NOW Corporation in its special meeting unanimously approved to reverse its approval on 01 July 2021 on the conversion into equity of the P221,000,000.00 advances from Velarde, Inc. The Board likewise approved the conversion of said advances into an interest-bearing loan, effective 24 May 2022, with a term of one (1) year, renewable upon mutual agreement of the parties, with interest based on prevailing market rates. On 29 April 2023, the parties agreed to convert the loan into a seven-year term loan beginning January 1, 2023, with a two-year moratorium on interest and principal, subject to interest at prevailing market rate starting on the third year.

On 21 July 2022, NOW Telecom Company, Inc. (NOW Telecom), together with affiliate and listed firm NOW Corporation (NOW Corp) signed a Memorandum of Understanding together with SBA Towers Philippines, Inc., a subsidiary of SBA Communications Corporation, a NASDAQ-listed firm focused on providing tower infrastructure and other shared infrastructure in the Philippines. The parties are in discussion and negotiating the lease of build-to-suit sites, towers, and passive telecommunications infrastructure and facilities that will be made available for the installation of NOW's facilities and equipment to provide telecommunications and/or internet services.

On 20 January 2023, a Grant Agreement has been signed between the United States of America, acting through the U.S. Trade and Development Agency ("USTDA"), and NOW Telecom Company, Inc. ("NOW Telecom") to fund technical assistance (TA) and 5G pilot network launch. This deployment will support the development of a secure 5G stand-alone (SA) network infrastructure in the Philippines.

On 27 April 2023, NOW Corporation, NOW Telecom Company, Inc., and CISCO International Limited have signed a Memorandum of Understanding (MoU). The Parties will collaborate on the development of 5G

communication systems and networks in the Philippines. This collaboration is part of NOW's transition to a digital service provider and mobile telecommunications provider, in line with the Philippines' 2030 Vision and National Transformation Plan. The partnership between the Parties aims to introduce modern 5G solutions to the Philippines, enhancing the country's telecommunications landscape. With this, NOW plans to offer secure and dependable 5G services and applications for the public sector, major enterprise sectors, and the general public. NOW's Enterprise customers, such as those in manufacturing, logistics, port operations, banking, and BPO sectors, will have access to these advanced 5G solutions.

On 03 May 2023, NOW Corporation and OneWeb Network Access Associates Limited, a Low Earth Orbit (LEO) satellite communications company has entered into a Memorandum of Understanding to bring high-speed, low-latency broadband connectivity to the Philippines. The partnership combines the innovative satellite technology of OneWeb with NOW Corp's existing broadband service and strong local presence especially in the enterprise market. OneWeb's LEO satellites will provide seamless connectivity, enabling NOW to offer a wide range of enhanced broadband services to sectors including government, aviation, maritime, military, energy, healthcare and banking.

On 19 June 2023, NOW Corporation received an Order dated 15 June 2023 from the Enforcement and Investor Protection Department (EIPD) of the Securities and Exchange Commission relative to an alleged violation of Section 24.1(d) of the Securities Regulation Code. The dispositive portion of the SEC Order states, "Accordingly, NOW CORPORATION and MR. MEL V. VELARDE are administratively liable for violation of Section 24.1(d) in relation to Section 54.1 of the Securities and Regulation Code for disclosing misleading information to the public and are hereby DIRECTED to pay ONE MILLION PESOS (PHP1,000,000.00) each within fifteen (15) days from receipt of this Order." The alleged violation emanated from NOW Corporation's disclosure dated 10 November 2021 stating that it has no knowledge of the details surrounding the Motions filed by the National Telecommunications Commission through the Office of the Solicitor General regarding the Php2.6B liability representing unpaid Supervision and Regulation Fees and Spectrum User Fees of NOW Telecom Company, Inc. (a separate entity). NOW Corporation disagrees with the Order of the EIPD. The motion for reconsideration was filed in July 4, 2023, and is pending resolution with the SEC.

On 18 September 2023, a Memorandum of Agreement was signed by and among the Company, the Cybercrime Investigation and Coordinating Center ("CICC") and NOW Telecom Company, Inc. for the provision of secured connectivity solutions and ICT services to CICC and key agencies to support CICC's operation and mandate to foster the nation's cybercrime resiliency and promote sound cyber-risk management.

On 08 September 2023, Fortinet, Inc., the global cybersecurity leader driving the convergence of networking and security, and the Company, signed a strategic Memorandum of Understanding (MOU) to enhance cybersecurity and 5G security in the Philippines, expediting the nation's digital transformation journey. This MOU signifies a shared commitment to enhancing security solutions tailored for enterprises across the country. By synergizing Fortinet's cutting-edge cybersecurity expertise with the Company's delivery of connectivity and security solutions, this partnership seeks to provide robust security solutions that align with the dynamic needs of the Philippine market.

On 17 August 2023, the Company, together with CELONA, Inc., a Silicon Valley-based leading innovator of enterprise private wireless systems and NOW Telecom Company, Inc., signed a Memorandum of Understanding to deliver next generation private wireless 5G LAN solutions to enterprises throughout the Philippines. Under the MOU, the parties agree to pursue, collaborate, and focus on the expansion of NOW's current broadband telecom network by rolling out turnkey stand-alone (SA) private wireless networks specifically engineered for the enterprise market. NOW will leverage on CELONA's products and technology to help businesses expedite by bringing private wireless network applications to market, streamlining costs, mitigating operational challenges, simplifying the customer experience, and enabling the ability to easily scale their connectivity as demands change. NOW will utilize CELONA's complete end-

to-end portfolio of new NR products as part of its private wireless managed service offering. The CELONA-NOW partnership will target key vertical markets such as manufacturing, oil and natural gas, logistics and transportation ports looking to automate business processes, improve productivity and streamline operations.

On 03 August 2023, the Company together with Cagayan Economic Zone Authority (CEZA) and NOW Telecom Company, Inc signed a Memorandum of Understanding which aims to advance the Philippines' telecommunications and digital world-class communications critical infrastructure which includes the provisioning of unified connectivity, software systems and services that would operate in the province of Cagayan and CEZA locators and people. The proposed project will deploy fixed wired, fixed wireless, terrestrial, satellite, and other delivery systems to CEZA ensuring reliable and quality broadband and other ICT services to CEZA's locators. CEZA's strategic positioning and critical infrastructure underscore its profound significance. CEZA's vicinity to two Philippine-American military bases, integral to the Enhanced Defense Cooperation Agreement (EDCA) between the United States and the Philippines, amplifies its global security influence. Furthermore, its proximity to Taiwan positions CEZA as a potential extension for Taiwan's industrial zones, underscoring its commercial and strategic reach.

No other significant event during the period is covered by this report.

Reconciliation of Retained Earnings Available for Dividend Declaration

(Amounts are based on Separate Financial Statements of the Parent Company)

As at September 30, 2025 (Unaudited)	Amount
Unappropriated retained earnings, beginning of year	₱42,501,704
Net income during the year closed to retained earnings	9,458,612
Total unappropriated retained earnings available for dividend declaration at end of year	₱51,960,316

Reconciliation:

Unappropriated retained earnings as shown in the financial statements at end of year	₱51,960,316
Total unappropriated retained earnings available for dividend declaration at end of year	₱51,960,316

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operation.

Total Consolidated Revenues for the nine-month period ended September 30, 2025, amounted to Php107.542 million, reflecting a 32.30% decline from Php158.842 million recorded during the same period in 2024. The decreased was primarily attributed to Service revenues which dropped by 32.47%, from Php157.706 million in 2024 to Php106.506 million in 2025.

Service revenues, which consist mainly of broadband services and income derived from IT manpower deployment, were adversely affected by reduced client demand and fewer project engagements during the period.

- Broadband and other related services decreased by 30%, from Php146.232 million in 2024 to Php102.577 million in 2025 largely due to decreased subscription.
- IT Manpower Augmentation revenues dropped significantly by 66%, from Php11.474 million in 2024 to Php3.929 million in 2025.

- Sales from Software Licenses also declined slightly by 9%, from Php1.136 million in 2024 to Php1.036 million in 2025 attributable to subdued demand for new software implementations.

Consequently, Gross Profit decreased by 33.88%, from Php99.360 million in 2024 to Php65.702 million in 2025. The decline was primarily driven by lower revenue generations and reduced economies of scale across service operations.

Total Operating Expenses for the nine-month period ended September 2025 amounted to Php32.415 million, **reflecting a 49.14% decrease by Php31.321 million** compared to Php63.737 million recorded during the same period in the previous year. This substantial decline reflects the Company's continued commitment to cost-efficiency and prudent financial management through the implementation of various cost-optimization measures since the start of the year.

Key drivers of the reduction in operating expenses include:

- Manpower optimization, which resulted in savings of Php8.975 million in salaries and employee benefits.
- Lower professional fees, reduced by Php8.497 million due to the streamlining of external consultancy engagements.
- Reduced representation expenses, down by Php4.807 million, following tighter controls on discretionary spending.
- Savings in outside services, decreased by Php1.162 million through vendor rationalization; and
- Lower transportation and travel costs, reduced by Php1.0 million, owing to improved operational planning and remote coordination practices.

In terms of cost composition, Salaries and Benefits accounted for 35% of total operating expenses, followed by Depreciation and Amortization at 14%, and Taxes and Licenses at 9%, mainly attributable to documentary stamp taxes on loans and business permit renewals. Professional Fees comprised another 9%, while the remaining portion was attributed to transportation, communication, and other miscellaneous expenses.

Overall, the decline in operating expenses underscores the Company's focused efforts to enhance operational efficiency and sustain profitability amid a challenging revenue environment.

As of September 30, 2025, the Company's total consolidated assets amounted to Php3.285 billion, reflecting a 3.55% increase from Php3.173 billion recorded in the same period last year. The growth was primarily driven by the expansion of current assets, which rose by 11.88% equivalent to Php1.079 million due to improved cashflow and stronger working capital management.

- Cash and cash equivalents increased by 37.51%, from Php22.763 million in 2024 to Php31.301 million in 2025, attributed to disciplined cash management and efficient collection efforts
- Trade and other receivables likewise rose by 10%, reaching Php577.562 million, reflecting higher receivables balances from ongoing service contracts.
- Other current assets also posted a significant increase of 87.72%, amounting to Php121.624 million, primarily driven by prepayments and input tax recognized during the period.
- Conversely, Due from related parties recorded a slight decline of 0.95%, from Php351.806 million in 2024 to Php348.481 million in 2025.
- On the other hand, non-current assets remained relatively stable, posting a marginal decline of 0.09%, from Php2.208 billion in 2024 to Php2.206 billion in 2025, reflecting minimal movements in long-term investments and property, plant, and equipment.

On the liabilities side, Current liabilities increased by 21.16%, from Php547.473 million to Php663.329 million, primarily due to higher accounts payable and accrued expenses.

Non-current liabilities also posted a slight increase of 0.93%, from Php423.318 million in 2024 to Php427.249 million in 2025, reflecting the reclassification of long-term borrowings and lease obligations.

As of Sep. 30, 2025, the total Assets stood at Php3.285 billion, Liabilities at Php1.091 billion and Equity at Php2.195 billion

Overall, the Company maintained a strong asset base supported by prudent liquidity management and stable capital structure, despite moderate increases in liabilities.

From a financial position standpoint, the Company continues to maintain a **sound liquidity profile**, supported by higher current assets and controlled debt expansion.

The **current ratio** as of Sep.30 2025 of 1.627 remains within a healthy range, signifying adequate short-term solvency to meet operational and financial obligations. The **debt-to-equity ratio of 0.497** likewise indicates a balanced capital structure, underscoring the Company's prudent leverage management and sustained financial stability.

- On May 24, 2022, the BOD, in its special meeting, approved to reverse its approval on July 1, 2021, on the conversion into equity of the Php221.0 million advances from VI. The BOD likewise approved the conversion of said advances into an interest-bearing loan, effective May 24, 2022, instead of converting it into equity as previously approved on July 1, 2021 (see Note 12)
- On April 29, 2023, the Now Corporation and Velarde Inc. entered into an agreement to extend the maturity date and set the interest period and monthly repayment period of the loan starting January 2, 2025, up to January 1, 2030, with interest based on prevailing market rate.
- On July 1, 2025, Velarde Inc. and the Parent Company executed an amendment to the 2023 Agreement extending the moratorium period for the payment of both principal and interest by one (1) year. Under the amended terms, the repayment period will commence on January 2, 2026, instead of January 1, 2025. The amendment took effect retroactively as of January 1, 2025.
- In October 2018, the Company obtained a term loan of Php50 Million with 8% fixed interest rate from a Producers Savings Bank Corporation for use in acquisition of capital assets. The company started the monthly repayment of the principal in 2021 and was fully settled in January 2024. On June 16, 2022, the Parent Company obtained a six-year, unsecured, ₱10.0 million loan agreement with the same local bank maturing on June 16, 2028. The loan carries an interest rate of 9% per annum. On December 6, 2023, the Parent Company obtained additional long-term loans amounting ₱50.0 million and ₱25.0 million respectively. Both loans carry an interest rate of 11.0% with five years tenor, maturing on December 6, 2028.
- On September 17, 2024, The Parent Company availed, secured an additional long-term loan amounting to ₱24.0 million with Producers Savings Bank Corporation. The loan maturity date is until Sep.17, 2029 with an annual interest rate of 11.00%.
- In February 2025, the Parent Company obtained a ₱50.00 million long-term loan from Producers Bank with an annual interest rate of 11.00%. The loan was released in two tranches: ₱25.00 million on March 18, 2025, and ₱25.00 million on September 26, 2025. Both tranches will mature on March 18, 2030.

- On February 10, 2021, the Parent Company secured a set of short-term loans from Landbank totaling ₱50.0 million with interest rate of 6.50% per annum and six (6) months term. The loans were subsequently renewed and were fully paid in January 2024. The Company consequently secured another set of loans from Landbank in January 2024, aggregating Php50.0 million with an annual interest rate of 8.50%. On September 20, 2024, the Parent Company paid P5.00 million to Land Bank and another P2.9 million on November 29, 2025. The Parent Company and Land Bank converted the loan to a long-term loan with a principal amount of P42.1 million pesos maturing on November 29, 2027
- On 06 October 2021, the Company obtained a short-term loan of ₱50.0 million from Unionbank of the Philippines with a floating interest rate of 4.5% per annum to be used for working capital requirements of the company. The loan was subsequently renewed and will mature in March 2025.
- In 2021, the Parent company availed of chattel mortgage loans aggregating Php7,103,200 from RCBC for purchases of vehicles, which serves as the properties mortgaged. The loans have a term of five (5) years and bears interest rates ranging from 9.43% to 10.35% per annum. In 2022, the Parent Company further availed of chattel mortgage loans aggregating ₱6,616,000 from the same bank for the same purpose. The loans have a term of 5 years and bears interest rate of 9.44% per annum.
- In 2019, the Parent Company availed of loans aggregating ₱14.0 million from a third party, mainly to fund its working capital requirements. The loans have a term of six (6) months and carry an interest rate of 8.00% per annum. The Parent Company paid ₱2.0 million in 2020. The maturities of the loans amounting to ₱2.0 million and ₱10.0 million were further extended up to February 2025 and March 2025, respectively.

Part II. Other Information

Item 1. Financial Soundness Indicators

See Annex “A”.

There are no known trends, demand, commitments, events or uncertainties that will have a material impact on the Company’s liquidity, nor any events that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.

There are no known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues/income from continuing operations. There are no significant elements of income or loss that did not arise from the Company’s continuing operations.

There are no material changes from period to period of the financial statements which include vertical and horizontal analyses of any material item.

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created during the reporting period.

As the business volume builds up progressively, the Company also plans to beef up its organization by engaging the right talents particularly to join the telecommunications, media, information technology and product development and marketing teams.

There is no seasonality or cyclicalality of the interim operations of the Company.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

NOW CORPORATION

Issuer

BY:



PATRICIO S. CARLOS

President

Date: Nov. 10, 2025



CHARRY MAE O. ROQUE

Chief Finance Officer

Date: Nov.10, 2025



MA. JERZY APRILLE D. TORRES

Corporate Secretary

Date: Nov.10, 2025

ANNEX “A”

Schedule of Financial Indicators For the Quarter Ending 30 September 2025 and 2024

Category	Financial Ratio	Jan-Sep 30	
		2025	2024
Liquidity	Current Ratio	1.6266	1.7616
	Acid Test Ratio	1.4432	1.6432
Solvency	Debt to Equity Ratio	0.4969	0.4409
	Asset to Debt Ratio	3.0124	3.2681
	Debt to Asset Ratio	0.3320	0.3060
Equity	Asset to Equity Ratio	1.4969	1.4409
Interest	Interest Rate Coverage Ratio	1.6481	1.7900
Profitability	Profit Margin	61.09%	62.55%
	Return on Assets	0.26%	0.41%
	Return on Equity	0.40%	0.60%
	Book Value per share	1.2147	1.2187
	Earnings per share	0.0048	0.0073

The Financial Indicators are computed as follows:

- Liquidity:** Current Ratio = Current Assets/Current Liabilities
 Acid Test= (Current Assets- Inventory- Prepayments) / Current Liabilities
- Solvency:** Debt to Equity Ratio = Total Liabilities/Total Stockholders' Equity
 Asset to Debt Ratio= Total Assets / Total Liabilities
 Debt to Asset Ratio = Total Liabilities/Total Assets
- Equity:** Asset to Equity Ratio = Total Assets/Total Stockholders' Equity
- Interest:** Interest Rate Coverage Ratio = Earnings Before Interest and Taxes/Interest Expense
- Profitability:** Profit Margin %: Profit margin = Gross Profit/Total Revenue x 100
 Return on Assets %: Return on assets = Net Income/ Total Assets x 100
 Return on Equity % = Net Income/ Total Stockholders' Equity x 100
 Book Value per share = Total Stockholders' Equity/Average Outstanding Shares
 Earnings per share = Net Income / Outstanding Shares